VALUATUM

17.8.2026

Tesla

TSLA • NASDAQ Global Select • Auto - Manufacturers • United States

COMPANY PROFILE

Tesla designs, manufactures, sells and leases electric vehicles. It develops paid driver-assistance software, autonomous-mobility systems and humanoid robots; operates fast-charging infrastructure; and supplies utility and residential energy-storage products. Reported operations comprise Automotive and Energy generation and storage, although several economically distinct activities remain within Automotive disclosure.

RECOMMENDATION **SELL** 12-month horizon	CURRENT PRICE **339.99 USD** as of report date	TARGET PRICE **161.10 USD** 12-month fundamental
IMPLIED UPSIDE **−52.6%** vs. current price	MARKET CAP **USD 1,270 bn** shares × price	ENTERPRISE VALUE **USD 1,277.2 bn** mcap + EV adjustments

P/E 2026E	EV/EBITDA 2026E	FCF YIELD 2026E	DIVIDEND YIELD 2026E	NET DEBT / EBITDA 2026E
267.9×	76.9×	-0.4%	—	-0.2×

RESEARCH SNAPSHOT

The call, the math, and the three reasons why

02

A one-page summary of the recommendation and the evidence behind it; the following pages provide the detail.

RECOMMENDATION **SELL** 12-month horizon	TARGET PRICE **161.10 USD** 12-month fundamental	CURRENT PRICE **339.99 USD** as of report date	IMPLIED UPSIDE **−52.6%** vs. current price
MARKET CAP **USD 1,270 bn** shares × price	ENTERPRISE VALUE **USD 1,277.2 bn** mcap + EV adjustments	P/E · EV/EBITDA 2026E **267.9× · 76.9×** history + peers, see p. 18–19	FCF · DIV YIELD 2026E **-0.4% · —**

01 Current valuation requires software-like group economics

The market-implied model requires a 43.2% terminal EBIT margin, versus Tesla's authoritative 2026 forecast of 5.4%. Vehicle manufacturing alone cannot close that gap. The share price is therefore exposed to delays in autonomy milestones.

`43.2% implied terminal EBIT margin`

02 Real profit engines retain meaningful standalone value

Automotive and energy generated all reported FY2025 revenue and gross profit. Paid software and charging add distinct recurring revenue streams, but Tesla does not disclose their full revenue, subscriber economics or standalone margins. The model therefore separates them conservatively.

`USD 17094m FY2025 gross profit`

03 Autonomy evidence is progressing but still asymmetric

Tesla has launched driverless operations and accumulated supervised data. However, permit coverage, fleet size and autonomous-mileage evidence remain far behind the leading operator. The valuation therefore assigns explicit success probabilities rather than treating robotaxi forecasts as ordinary revenue.

`380000 reported unsupervised miles`

THESIS BREAKER

Broad driverless approval and independently credible economics across several thousand vehicles would invalidate the probability discount.

SHARE PRICE DEVELOPMENT

Price trajectory and valuation anchors

03

Weekly closing prices over 36 months with the 12-month target price, alongside key market data.

Share price — last 36 months

USD per share, with 12-month target line

CURRENT PRICE **339.99 USD** 17 August 2026	TARGET PRICE **161.10 USD** 12-month	IMPLIED UPSIDE **−52.6%** vs. current	52-WEEK HIGH **498.83 USD** past 12m
52-WEEK LOW **297.38 USD** past 12m	1-YEAR CHANGE **+2.7%** price only	3-YEAR CHANGE **+54.8%** price only	REPORT DATE **17 August 2026**

READING THE MOVE

The evidence supports expanding driverless pilots, rising FSD subscriptions and rapid energy-storage deployment. Weaker vehicle margins and heavy capital spending offset those positives. Tesla reported USD 1.1bn of Q2 2026 GAAP net income on 22 July 2026, while management projected more than USD 25bn of 2026 capital expenditure on 23 July. The supplied evidence does not establish the drivers of any specific daily price move. The quote remains above the USD 305.1 target.

VALUE BREAKDOWN · PART 1

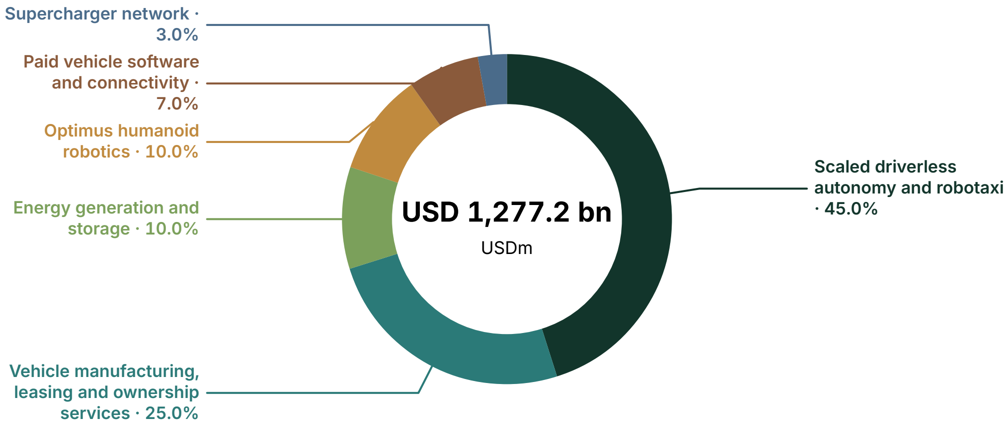
Enterprise-value allocation by business division

04

Where the market value sits across current businesses and long-term strategic options.

Enterprise value by business division

USD millions · current analytical allocation



VALUE AND EARNINGS BY BUSINESS DIVISION

Analytical enterprise-value allocation against reported economics. "Reported" rows match a verified company-reported segment; "Modelled allocation" rows are model-side splits. This issuer discloses segment gross profit but not segment EBIT, so the absolute profit column is verified gross profit while the share column is the model's estimate of each division's share of group EBIT. Business divisions may differ from company-reported accounting segments.

	EV	EV %	REVENUE	REV %	GROSS PROFIT	EBIT SHARE OF TOTAL (EST.)	BASIS
Scaled driverless autonomy and robotaxi	574,761	45.0%	0	0.0%	0	-4.0%	Modelled allocation
Vehicle manufacturing, leasing and ownership services	319,312	25.0%	77,556	81.8%	11,200	48.0%	Modelled allocation
Energy generation and storage	127,725	10.0%	12,771	13.5%	3,802	27.0%	Reported
Optimus humanoid robotics	127,724	10.0%	0	0.0%	0	-3.0%	Modelled allocation
Paid vehicle software and connectivity	89,407	7.0%	2,800	3.0%	1,600	27.0%	Modelled allocation
Supercharger network	38,317	3.0%	1,700	1.8%	492	5.0%	Modelled allocation
Total	**1,277,246**	**100.0%**	**94,827**	**100.0%**	**17,094**	**100.0%**	—

VALUE BREAKDOWN · PART 2

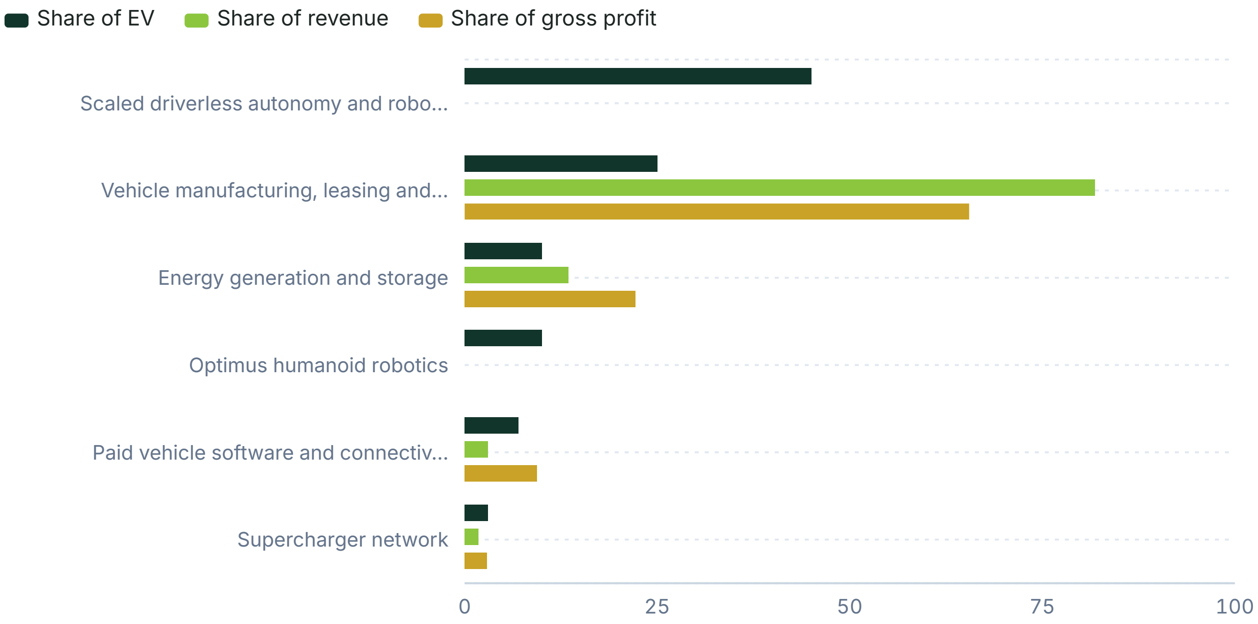
Where value sits versus where money is earned

05

Each business division's share of enterprise value against its share of group revenue and profit. A division holding value it does not yet earn is where the valuation rests on the future; the full figures are in the allocation table on the previous page.

Share of enterprise value vs revenue and profit

Per cent of group total · modelled allocation



INTERPRETATION

Current enterprise value is driven mainly by outcomes not visible in reported segment profit: 45% is allocated to scaled driverless autonomy and 10% to Optimus. Vehicle manufacturing remains the largest conventional profit engine. Software, energy and charging diversify cash generation, but do not independently support the current valuation.

RECOMMENDATION

Why we land on the call we do

06

How the assembled evidence adds up to the call: what the price assumes, what the clues say, and what would change our view. The decision summary and the three headline reasons are on the snapshot page.

SELL. The 12-month target price is USD 161.1, implying 52.6% downside from the current price of USD 339.99.

The current USD 1.27 trillion market capitalization values a business modelled to generate USD 105.9 billion of 2026 revenue and USD 5.7 billion of EBIT. It trades at 267.91x earnings and 225.18x EBIT. The reverse model makes the burden clearer: terminal revenue reaches only USD 180.7 billion, while EBIT margin must rise to 43.2% from 5.4% in the authoritative 2026 model.

The evidence is constructive but does not yet support that margin burden. Tesla reported 1.48 million active FSD subscriptions in Q2 2026, up 56% year over year, according to Tesla Investor Relations on 22 July 2026. Its driverless fleet had also reported more than 380000 unsupervised miles by July, according to Business Insider on 22 July 2026. Waymo, by comparison, had nearly 200 million fully autonomous miles by June, according to New Market Pitch on 29 June 2026. California still listed Tesla only for testing with a driver as of 17 August 2026.

The strongest case against SELL is Tesla's combination of a large installed fleet, subscription software monetization and low-cost vehicle manufacturing. If driverless permissions expand and fleet utilization validates the economics, that optionality could outweigh near-term automotive weakness. However, reported 2025 EBIT fell to USD 4.4 billion and modelled free cash flow remains negative through 2027. The evidence does not yet support broad success as the central outcome.

The recommendation would improve if Tesla demonstrates genuinely driverless paid operations across several large jurisdictions, materially closes the autonomous-mileage gap and sustains software retention after moving to subscriptions. It would weaken if automotive utilization remains depressed, energy margins normalize below the 2025 level, or robotaxi incidents trigger permit restrictions before fleet density and revenue scale.

CORE ANALYSIS · EXECUTIVE MAP

07

How the company creates economic value

The framework underlying the business division deep dives that follow.

Vehicle manufacturing provides scale and customer acquisition. The key measure is factory utilization, because better cost absorption must restore margin without price increases that reduce demand. Paid software turns the installed fleet into recurring revenue. Its key measure is retained paying subscribers, not gross attachment. Energy is a separate manufacturing and project business. Its key measure is deployed GWh at normalized gross margin.

Charging is an infrastructure option within Automotive disclosure, and connector utilization determines returns. Driverless autonomy carries the most value because even a small share of USD 440 billion of US displaced activity could generate software-like margins. Permission and fleet evidence remain limited. Optimus has value only if it can replace labor across multiple shifts at acceptable reliability. Unit counts without measured output do not establish economics.

ANALYTICAL ANCHOR

The stock is not valued as an EV manufacturer with free options. It is an option portfolio funded by manufacturing businesses.

CORE ANALYSIS · BUSINESS DIVISION DEEP DIVES

08.1 Scaled driverless autonomy and robotaxi

Business division deep dive — Emerging option.

THE OPPORTUNITY IS TRANSPORTATION SPENDING, NOT TODAY'S ROBOTAXI MARKET

US households spent approximately USD 1.6 trillion on transportation in 2024, according to the US Department of Transportation on 24 January 2024, and the Bureau of Labor Statistics reported average household spending of USD 13318 in 2024 on 12 February 2026. Goldman Sachs estimated USD 440 billion of US activity—including driver wages, ride bookings and vehicle sales—subject to autonomous-vehicle disruption in 2026 on 30 April 2026. That USD 440 billion is the valuation's addressable pool because it reflects expenditure that driverless mobility could replace. It is deliberately much larger than the labelled robotaxi market.

Commercial robotaxi revenue remains embryonic. Fortune Business Insights estimated the global robotaxi market at only USD 1.27 billion in 2026 on 27 July 2026, versus USD 0.61 billion in 2025. Grand View Research estimated USD 1.19 billion for 2026 on 15 July. Goldman Sachs projected USD 415 billion globally by 2035, including USD 48 billion in the United States, on 30 April 2026. ARK's USD 34 trillion equity-value forecast for 2030, published 1 May 2025, is excluded because it is an equity outcome, not annual displaced spending, and differs by orders of magnitude from operating-market evidence.

TESLA HAS CROSSED FROM DEMONSTRATION TO LIMITED SERVICE

Tesla began unsupervised Robotaxi service with Cybercab in Dallas and Houston, according to its Q1 2026 update dated 22 April 2026. Miami was confirmed as operating unsupervised within a 10–14 square-mile geofence on 3 July 2026, according to Teslarati on 9 July. Tesla reported more than 380000 unsupervised miles across six US cities from January through July 2026, according to Business Insider on 22 July. These are more relevant than supervised FSD miles because they test operations without an in-vehicle driver.

The fleet remains small. BigGo Finance, citing Gary Black on 13 August 2026, estimated 90–100 active robotaxis. Teslarati reported Tesla's commercial Austin fare at a USD 3 base charge plus USD 1.40 per mile on 26 June 2026. Tesla also targets a Cybercab operating cost of twenty cents per mile, according to Tesla and Teslarati on 22 January 2026. A ten-mile ride would generate USD 17 and cost USD 2 before cleaning, insurance, support, deadhead miles and depreciation. Those excluded costs mean the target does not yet demonstrate network margin.

SCALED DRIVERLESS AUTONOMY AND ROBOTAXI FACT SHEET

EMERGING OPTION

REVENUE	Not separately reported
GROSS PROFIT	Not separately reported
US DISPLACED ACTIVITY	$440bn in 2026
REPORTED DRIVERLESS MILES	Over 380000 through July 2026
ESTIMATED ACTIVE PILOT FLEET	90–100 vehicles in August 2026
WAYMO AUTONOMOUS MILES	Nearly 200m by June 2026
COMMERCIAL AUSTIN TARIFF	$3 base plus $1.40 per mile
JURISDICTION CASCADE	Live TX/FL; capped NV; driver-only CA
NEXT GATE	Commercial fleets above 1000 vehicles
BASE OPTION REQUIREMENT	5.7% of $440bn at 45% EBITDA margin

CORE ANALYSIS · BUSINESS DIVISION DEEP DIVES

08.1 Scaled driverless autonomy and robotaxi (continued)

Business division deep dive — Emerging option.

- Texas: commercial operators require active TxDMV authorization from 28 May 2026 under SB 2807. Tesla launched service, but the evidence sets no local fleet cap.
- Florida: Miami operates unsupervised within a 10–14 square-mile geofence, confirmed 3 July 2026. The exact active fleet size is unavailable.
- Nevada: Tesla received AVNC Permit 002 on 13 August 2026, initially capped at 10 vehicles and roads at or below 45mph.
- California: Tesla held only a testing-with-driver permit as of 17 August 2026 and had not applied for driverless testing or deployment.
- China: broader smart-driving approval was targeted for Q3 2026. Mandatory L3/L4 rules begin 1 July 2027 with a ten-second takeover buffer.

PERMISSION IS FRAGMENTED AND MUST BE EARNED JURISDICTION BY JURISDICTION

Nevada shows the difference between authorization and commercial scale. The Nevada Transportation Authority granted Tesla Robotaxi LLC an AVNC permit on 13 August 2026. Axios reported on 14 August that the initial approval was capped at ten vehicles and excluded roads above 45mph. Another account said the permit could eventually support up to 5000 vehicles in Clark County, but the operative initial limit is ten. The valuation treats Nevada as regulatory progress, not scale.

California is the clearest regulatory barrier. As of the report date, the California DMV listed Tesla only for testing with a driver, with no application for driverless testing or public deployment. Rules effective 1 July 2026 allow tickets against AV companies, require a 30-second first-responder response, and mandate collision reports within 24 hours and other incidents within 72 hours. California's mobility market cannot be included in near-term Tesla revenue until its permit category changes.

Federal vehicle compliance is another constraint. Tesla VP Lars Moravy said Cybercab was designed to meet all FMVSS requirements, avoiding the annual 2500-vehicle exemption cap, during the Q1 earnings call on 23 April 2026. Cybercab received an EPA Certificate of Conformity on 26 May 2026 with more than 418 miles of city range, according to Teslarati on 15 June. EPA certification is not formal NHTSA confirmation of FMVSS self-certification. That missing confirmation prevents the report from treating unrestricted production as fully cleared.

SCALED DRIVERLESS AUTONOMY AND ROBOTAXI FACT SHEET

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CORE ANALYSIS · BUSINESS DIVISION DEEP DIVES

08.1 Scaled driverless autonomy and robotaxi (continued)

Business division deep dive — Emerging option.

TESLA HAS EXTENSIVE SUPERVISED-MILE DATA, BUT LIMITED DRIVERLESS EVIDENCE

Tesla's FSD Supervised fleet reached 10 billion cumulative miles by May 2026, according to TNW on 11 June. However, it remains SAE Level 2 and requires active human attention. Driverless miles are the relevant measure for robotaxi valuation. Waymo had nearly 200 million fully autonomous miles by June 2026, according to New Market Pitch on 29 June, more than 500 times Tesla's reported 380000 unsupervised miles. The register's 117 times comparison uses a different Tesla mileage measure and should not be combined with the later 380000-mile disclosure.

Waymo provided 500000 weekly paid trips across ten cities by March 2026, according to SQ Magazine on 23 July. Baidu's Apollo Go reached 350000 weekly rides across 27 Chinese cities in Q1 2026, according to Baidu IR reporting on 19 May. Waymo had an estimated 3800 active autonomous vehicles in August 2026. Tesla's estimated 90–100 vehicles demonstrate launch capability, but not scaled dispatch, cleaning, charging, insurance or remote-assistance economics.

SAFETY EVIDENCE IS IMPROVING, BUT NOT COMPARABLE

NHTSA data analysis put Tesla's Austin crash rate at one incident per 57000 miles through February 2026, according to TNW on 11 June. Robotaxi Tracker calculated 66940 miles per crash through March on 22 April, with no crashes in February or March. The difference reflects period and methodology. The report therefore uses a range rather than false precision. Statistical confidence remains low at the disclosed fleet mileage.

Intervention claims differ more sharply. AMCI reported one intervention every 13 miles for FSD v12.5.1 in a 1000-mile September 2024 test. Elon Musk asserted one intervention per 10000 miles in the Austin pilot in April 2025. Owner reports cited with that claim suggested approximately 500 miles between critical interventions. These systems, versions and definitions are not comparable. No standardized independent v13 or v14 intervention series was found, so the probability is limited by the lack of common definitions.

Tesla also uses remote operators. Electrek reported domestic remote supervision alongside in-car safety monitors in Austin and the Bay Area on 19 February 2026. Reuters reported on 1 April that remote operators usually assume direct control below 2mph and rarely up to 10mph. Engadget reported at least two collisions while vehicles were under teleoperator control on 15 May. Remote assistance can support commercial autonomy, but frequent intervention would add labor and limit fleet scale. Intervention frequency is not disclosed.

SCALED DRIVERLESS AUTONOMY AND ROBOTAXI FACT SHEET

EMERGING OPTION

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CORE ANALYSIS · BUSINESS DIVISION DEEP DIVES

08.1 Scaled driverless autonomy and robotaxi (continued)

Business division deep dive — Emerging option.

UNIT ECONOMICS WORK ONLY AFTER UTILIZATION AND SUPPORT COSTS ARE PROVEN

The model assumes a mature vehicle completes 180 paid miles per day at USD 1.40 per mile for 330 operating days. This produces USD 83160 of annual mileage revenue, plus base fares. At 65% paid-mile utilization, total travel is roughly 277 miles daily. Applying the operating-cost target to total miles produces USD 18282 of annual direct running cost. This excludes insurance, cleaning, remote support, platform expense and vehicle capital. Adding USD 18000 for these items gives approximately USD 46878 of EBITDA per vehicle, a 56% margin on mileage revenue before base fares.

Under these assumptions, a 100000-vehicle fleet generates USD 8.3 billion of mileage revenue and USD 4.7 billion of EBITDA. The base option's USD 25 billion revenue requires roughly 300000 productive vehicles. The high leg's USD 80 billion requires close to one million. Cybercab manufacturing reportedly began at scale in Texas in April 2026, according to Teslarati on 26 June. The active service fleet remains two orders of magnitude below the first economically meaningful threshold.

OPTION VALUATION AND WHAT WOULD BREAK IT

The base-success leg assumes Tesla captures 5.7% of the USD 440 billion US displaced pool, producing USD 25 billion of 2035 revenue. At a 45% EBITDA margin, EBITDA is USD 11.25 billion. An 18.0x multiple gives USD 202.5 billion before discounting, weighted at 30%. The high-success leg assumes 18.2% share, USD 80 billion of revenue and a 50% margin. It produces USD 40 billion of EBITDA, valued at 20.0x and weighted at 30%. The remaining 40% represents failure or sub-economic deployment.

SCALED DRIVERLESS AUTONOMY AND ROBOTAXI FACT SHEET

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CORE ANALYSIS · BUSINESS DIVISION DEEP DIVES

08.1 Scaled driverless autonomy and robotaxi (continued)

Business division deep dive — Emerging option.

The majority-success probability depends on technology and permissions, not demand. Positive evidence includes live unsupervised service, 380000 reported miles, activity in six cities and Nevada authorization. The discount reflects California's driver-only permit, Nevada's ten-vehicle cap, an estimated fleet below 100 vehicles, remote supervision and Waymo's larger evidence base. Total failure means Tesla cannot secure broad driverless permits, reduce intervention and incident rates sufficiently for regulators, or achieve margins after insurance and remote support.

The option would re-rate materially if Tesla exceeds 1000 genuinely driverless fare-paying vehicles, publishes comparable autonomous-mile and intervention data, and secures a California driverless permit. It would break if serious incidents suspend permits, if remote assistance scales roughly one-for-one with vehicles, or if all-in cost exceeds fare revenue after deadhead miles. The key condition is permission for genuinely driverless commercial service without continuous human supervision, not consumer enthusiasm for FSD.

SCALED DRIVERLESS AUTONOMY AND ROBOTAXI FACT SHEET

EMERGING OPTION

REVENUE
Not separately reported

GROSS PROFIT
Not separately reported

US DISPLACED ACTIVITY
$440bn in 2026

REPORTED DRIVERLESS MILES
Over 380000 through July 2026

ESTIMATED ACTIVE PILOT FLEET
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COMMERCIAL AUSTIN TARIFF
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JURISDICTION CASCADE
Live TX/FL; capped NV; driver-only CA

NEXT GATE
Commercial fleets above 1000 vehicles

BASE OPTION REQUIREMENT
5.7% of $440bn at 45% EBITDA margin

DRIVERLESS COMMERCIAL SCALE, EVIDENCE AND POSITION

OPERATOR	COMMERCIAL SCALE	AUTONOMOUS EVIDENCE	MARKET POSITION
Tesla	Est. 90–100 vehicles	>380k miles by Jul 2026	6% US bookings est.
Waymo	500k trips/week	~200m miles by Jun 2026	69% US bookings (Jun 2026)
Baidu Apollo Go	350k rides/week Q1 2026	27-city network	81.7 composite index
Uber	Asset-light platform	Partners with AV operators	Mobility demand benchmark

CORE ANALYSIS · BUSINESS DIVISION DEEP DIVES

08.2 Vehicle manufacturing, leasing and ownership services

Business division deep dive — Profit engine.

THE PRIZE IS THE EXPENDITURE TESLA'S VEHICLES REPLACE

The relevant opportunity is broader than the labelled electric-vehicle market. Global automotive activity was estimated at USD 4.6 trillion in 2025 by Deveconomics on 31 December 2025. The global ICE and hybrid market alone was estimated at USD 2.75 trillion by Mordor Intelligence on 2 December 2025. The narrower 2026 electric-vehicle market was estimated at USD 560 billion by Intel Market Research and USD 1023.81 billion by Fortune Business Insights on 27 July 2026. Definitions differ, so the valuation does not infer revenue from these estimates. It starts with Tesla's reported Automotive segment and removes software and charging. The USD 4.6 trillion displaced-spend figure indicates strategic runway, not near-term obtainable revenue.

Vehicle ownership creates adjacent expenditure pools. Mordor Intelligence estimated global vehicle leasing and rental at USD 171.26 billion in 2026 on 12 August 2026. Tesla participates through leases, used vehicles, service, collision repair and insurance, but the source data do not provide separate profit or market share for these activities. The IEA reported that EVs displaced 1.7 million barrels of oil demand per day in 2025 on 20 May 2026. Another IEA measure gives 1.2 million barrels per day for the broader electrified stock. The report uses the direct EV figure for vehicles but does not monetize the difference because definitions are not reconciled.

TESLA HAS A STRONG US POSITION, BUT DOES NOT SET THE GLOBAL PACE ALONE

Tesla remains strong in the US, but its position varies by geography and market definition. Electrek reported a 50.5% share of the US electric-vehicle market in H1 2026 on 10 July 2026, versus Chevrolet at 6%. Counterpoint Research reported that Tesla regained the global BEV lead with 13% in Q1 2026 on 28 May 2026. This does not conflict with BYD's broader lead when plug-in hybrids are included. Fortune Business Insights described BYD as the largest EV seller including BEVs and PHEVs on 27 July 2026, while Voronoi reported 2.26 million BYD BEV sales in 2025 on 6 January 2026. Tesla's US share supports its brand and distribution strength, but global competition constrains long-run margins.

- United States: Tesla held 50.5% of EV sales in H1 2026, while Chevrolet held 6%, according to Electrek on 10 July 2026.
- China: BYD held 23.5% of NEV retail sales in July 2026, according to CnEVPost on 13 August 2026.
- Europe: Tesla and BYD each held 2.4% of total automotive sales in H1 2026, according to TeslAnt on 25 July 2026.
- Global: Tesla held 13% of Q1 2026 BEV sales according to Counterpoint Research on 28 May 2026, while broader EV definitions favor BYD.

VEHICLE MANUFACTURING, LEASING AND OWNERSHIP SERVICES FACT SHEET

PROFIT ENGINE

MODEL ESTIMATE REVENUE	USD 77,556m
MODEL ESTIMATE GROSS PROFIT	USD 11,200m
MODELLED FY2025 REVENUE	$77.6bn after software and charging carve-outs
REPORTED AUTOMOTIVE GROSS MARGIN	16.2% on FY2025 segment facts
Q4 2025 COST PER VEHICLE	$33666
Q2 2026 REVENUE PER DELIVERY	Below $43000
ESTIMATED GLOBAL UTILIZATION	70–75% through Q3 2025
US EV SHARE	50.5% in H1 2026
VALUATION METRIC	$28.2bn modelled 2029 EBITDA × 10.0x

CORE ANALYSIS · BUSINESS DIVISION DEEP DIVES

08.2 Vehicle manufacturing, leasing and ownership services (continued)

Business division deep dive — Profit engine.

Leadership can change quickly. Visual Capitalist estimated BYD at 19.9% of global EV sales and Tesla at 7.7% from January through August 2025 on 13 November 2025. Counterpoint's later BEV-only result is more favorable to Tesla, but does not prove that the competitive gap has closed. Chinese manufacturers compete through product cadence, vertical integration and lower prices. Established manufacturers can fund transition losses from combustion businesses. Tesla's sustainable share depends on whether new products and lower costs can fill existing factories without repeated price reductions.

FACTORY UTILIZATION LINKS VEHICLE VOLUMES TO PROFIT

Tesla's FY2025 Automotive segment generated USD 82.1 billion of external sales and USD 13.3 billion of gross profit. This represented 86.5% of group revenue and 77.8% of group gross profit. The figures come from Note 16 on page 97 of Tesla's FY2025 Form 10-K. This report models USD 77.6 billion of vehicle, leasing and ownership-services revenue after removing USD 2.8 billion of paid software and USD 1.7 billion of charging revenue. These carve-outs are estimates, not reported divisions. The residual includes regulatory credits, leasing, parts, used vehicles, maintenance, collision repair and insurance.

Tesla Investor Relations reported average automotive COGS of USD 33666 per vehicle in Q4 2025 on 28 January 2026. Statista estimated revenue per vehicle delivery below USD 43000 in Q2 2026 on 23 July 2026, down from more than USD 50000 in 2021. The periods and definitions do not fully match, but they frame the issue. At roughly USD 43000 of revenue and USD 33666 of manufacturing cost, gross contribution before credits, leases, service and period differences is approximately USD 9334 per vehicle, or 21.7% of revenue. Reported automotive margin is lower because the accounting perimeter and periods differ. This arithmetic is a sensitivity, not a substitute for reported segment profit.

Utilization is the larger risk. Schmidt Automotive Research estimated Tesla's global manufacturing utilization at 70–75% for the twelve months through Q3 2025 on 2 October 2025. Handelsblatt, cited by CleanTechnica on 2 March 2026, estimated Berlin utilization at only 39.7% in 2025 on approximately 149040 vehicles. Tesla's plan to raise Berlin Model Y production by 20% to 7500 vehicles per week by October 2026, reported by André Thierig through EVBase on 20 July 2026, would annualize to about 390000 units. This would improve cost absorption, but the valuation requires proof that production follows demand rather than builds inventory.

VEHICLE MANUFACTURING, LEASING AND OWNERSHIP SERVICES FACT SHEET

PROFIT ENGINE

MODEL ESTIMATE REVENUE
USD 77,556m

MODEL ESTIMATE GROSS PROFIT
USD 11,200m

MODELLED FY2025 REVENUE
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REPORTED AUTOMOTIVE GROSS MARGIN
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VALUATION METRIC
$28.2bn modelled 2029 EBITDA × 10.0x

CORE ANALYSIS · BUSINESS DIVISION DEEP DIVES

08.2 Vehicle manufacturing, leasing and ownership services (continued)

Business division deep dive — Profit engine.

MARGIN RECOVERY MUST COME FROM COST, NOT PRICE

Margin evidence is different but sequentially consistent. EV.com reported Q4 2025 automotive gross margin excluding credits of 17.9% on 30 January 2026. Statista estimated Q2 2026 automotive gross margin at 16.7% on 23 July 2026, versus 17.2% a year earlier. These cover different quarters, so the report reads them as deterioration after a year-end improvement rather than conflicting measures. The base valuation assumes cost reductions and utilization improve vehicle EBITDA without requiring average selling prices to return to 2021 levels.

The target-year vehicle assumption is USD 28.2 billion of 2029 EBITDA. It requires approximately USD 120 billion of vehicle-related revenue at a 23.5% EBITDA margin, or a lower margin supplemented by credits and ownership services. This exceeds consolidated model EBITDA of USD 23.169 billion in 2029 because the SOTP uses normalized divisional economics before central AI and robotics spending, offset by probability treatment of options. At USD 43000 of revenue per delivery, USD 120 billion implies about 2.79 million revenue-equivalent vehicles before leasing and services. This is physically achievable, but mainly tests demand and utilization.

VALUATION AND FAILURE CONDITIONS

The target bridge values the division at USD 282 billion, using USD 28.2 billion of modelled 2029 EBITDA and a 10.0x multiple. This is below Tesla's normalized historical EV/EBITDA average of 101.83x and the 2026 peer median of 12.9x, but near mature Toyota's 2028 estimate of 10.1x. The multiple recognizes Tesla's brand, direct distribution and integrated software, without treating vehicle earnings as recurring software revenue. A 20% EBITDA miss removes USD 56.4 billion of enterprise value before the equity bridge.

VEHICLE MANUFACTURING, LEASING AND OWNERSHIP SERVICES FACT SHEET

PROFIT ENGINE

MODEL ESTIMATE REVENUE	USD 77,556m
MODEL ESTIMATE GROSS PROFIT	USD 11,200m
MODELLED FY2025 REVENUE	$77.6bn after software and charging carve-outs
REPORTED AUTOMOTIVE GROSS MARGIN	16.2% on FY2025 segment facts
Q4 2025 COST PER VEHICLE	$33666
Q2 2026 REVENUE PER DELIVERY	Below $43000
ESTIMATED GLOBAL UTILIZATION	70–75% through Q3 2025
US EV SHARE	50.5% in H1 2026
VALUATION METRIC	$28.2bn modelled 2029 EBITDA × 10.0x

CORE ANALYSIS · BUSINESS DIVISION DEEP DIVES

08.2 Vehicle manufacturing, leasing and ownership services (continued)

Business division deep dive — Profit engine.

The case breaks if price reductions remain necessary to support volume while utilization stays below roughly 75%. It also breaks if Berlin's planned ramp does not convert into deliveries, or if BYD's scale forces Tesla to choose permanently between share and margin. Sustained utilization above 85%, cost per vehicle materially below the Q4 2025 level and stable revenue per delivery would support higher EBITDA and a higher multiple. The most useful near-term measures are factory utilization, revenue per delivery, automotive gross margin excluding credits, and inventory relative to deliveries.

VEHICLE MANUFACTURING, LEASING AND OWNERSHIP SERVICES FACT SHEET

PROFIT ENGINE

MODEL ESTIMATE REVENUE
USD 77,556m

MODEL ESTIMATE GROSS PROFIT
USD 11,200m

MODELLED FY2025 REVENUE
$77.6bn after software and charging carve-outs

REPORTED AUTOMOTIVE GROSS MARGIN
16.2% on FY2025 segment facts

Q4 2025 COST PER VEHICLE
$33666

Q2 2026 REVENUE PER DELIVERY
Below $43000

ESTIMATED GLOBAL UTILIZATION
70–75% through Q3 2025

US EV SHARE
50.5% in H1 2026

VALUATION METRIC
$28.2bn modelled 2029 EBITDA × 10.0x

VEHICLE COMPETITION, ECONOMICS AND VALUATION REFERENCES

OPERATOR	MARKET POSITION	OPERATING EVIDENCE	VALUATION REFERENCE
Tesla	50.5% US EV (H1 2026)	$33666 COGS/vehicle (Q4 2025)	10.0x 2029 EBITDA
BYD	23.5% China NEV (Jul 2026)	2.26m BEVs (2025)	Primary global scale rival
General Motors	6% US EV (H1 2026)	7.3% EBIT margin (2026e)	6.0x EV/EBITDA (2026e)
Toyota	Global scale benchmark	7.8% EBIT margin (2026e)	11.8x EV/EBITDA (2026e)

CORE ANALYSIS · BUSINESS DIVISION DEEP DIVES

08.3 Energy generation and storage

Business division deep dive — Profit engine.

THE OPPORTUNITY IS GRID AND FOSSIL-FUEL SPENDING DISPLACED BY STORAGE

Storage competes for more than the labelled battery market. The IEA estimated global electricity-sector investment at USD 2.2 trillion in 2026 on 16 July 2026. An industry outlook estimated the broader annual energy market at USD 6–8 trillion on 10 May 2026. The narrower battery-energy-storage market was estimated at USD 69.29 billion by MarkNtel Advisors on 15 July 2026 and USD 96.8 billion by BloombergNEF and Wood Mackenzie reporting on 27 March 2026. The valuation uses Tesla's deployment throughput and pricing, not a share of the multi-trillion-dollar pool. That displaced spending explains why storage can grow for years without dominant market share.

Storage also reduces specific system costs. The US Department of Energy reported USD 12 billion of transmission congestion costs in 2024 on 9 July 2026. PJM alone incurred USD 1 billion in May 2026, according to Gridraven on 10 June. BloombergNEF reported four-hour battery LCOE of USD 78 per MWh in 2025, below USD 102 per MWh for new combined-cycle gas generation, on 18 February 2026. These figures support demand, but project economics still depend on interconnection, transformer availability and customer financing.

TESLA HAS SCALE AND MARGIN EVIDENCE, BUT LEADERSHIP IS CONTESTED

Tesla's FY2025 Energy generation and storage segment generated USD 12.8 billion of external sales and USD 3.8 billion of gross profit. This represented 13.5% of group revenue and 22.2% of group gross profit. Battery-Tech Network reported 46.7GWh of deployments and a 29.8% gross margin for 2025 on 3 February 2026. PV Magazine reported a 31.4% margin through Q3 2025 on 28 October 2025. The difference is consistent with period and rounding, so the full-year figure carries more weight.

Market-share data differ by period. Wood Mackenzie said Tesla led global BESS integration with 15% in 2024, narrowly ahead of Sungrow at 14%, in August 2025. Benchmark Mineral Intelligence reported that BYD overtook Tesla in 2025, with 13% versus Tesla at 10%, on 13 May 2026. Both can be true because the market changed. The report uses the later 2025 ranking for Tesla's current global position, while retaining its 39% North American share in 2024 as evidence of regional strength.

- Tesla: 46.7GWh deployed in 2025, with reported segment revenue of $12.8bn and 29.8% gross margin.
- Sungrow: 43GWh shipped in 2025, approximately $5.25bn ESS revenue and 36.49% gross margin, according to its annual report on 31 July 2026.
- BYD: 13% global integrator share in 2025 versus Tesla at 10%, according to Benchmark Mineral Intelligence on 13 May 2026.
- Fluence: $2.26bn FY2025 revenue and 13.1% gross margin, according to its SEC filing on 21 July 2026.

ENERGY GENERATION AND STORAGE FACT SHEET

PROFIT ENGINE

FY2025A REVENUE	USD 12,771m
FY2025A GROSS PROFIT	USD 3,802m
FY2025 DEPLOYMENTS	46.7GWh
FY2025 GROSS MARGIN	29.8%
Q2 2026 REVENUE	$3.14bn
Q2 2026 GROSS MARGIN	20.4% after $240m true-up
SHANGHAI ANNUALIZED CAPACITY	40GWh in early 2026
NORTH AMERICA INTEGRATOR SHARE	39% in 2024
VALUATION METRIC	$8.0bn modelled 2029 EBITDA × 15.0x

CORE ANALYSIS · BUSINESS DIVISION DEEP DIVES

08.3 Energy generation and storage (continued)

Business division deep dive — Profit engine.

THROUGHPUT, PRICE AND CELL COST DETERMINE THE VALUE

Tesla's 46.7GWh of deployment and USD 12.771 billion of segment revenue imply approximately USD 273 per kWh of blended revenue. This report derives that figure. It is consistent with cited Megapack 2 XL pricing of USD 235–285 per kWh for 2025–2026 from SDVGuru on 18 November 2025, although the segment also includes Powerwall, solar and services. Tesla's Shanghai Megafactory reached an annualized 40GWh rate in early 2026 and produced more than 2000 Megapacks in 2025, according to TESMAG on 16 March 2026. Capacity is becoming less constrained within Tesla; cell supply, project execution and grid connections increasingly determine throughput.

Q2 2026 energy revenue rose 13% year over year to USD 3.14 billion, according to Tesla reporting on 23 July 2026. Gross margin fell to 20.4%, partly because of a USD 240 million warranty true-up on legacy deployments. Excluding that charge, the report derives adjusted gross profit of roughly USD 881 million and an adjusted margin near 28.1%, close to the 2025 level. This is an analytical adjustment, not reported margin. Recurring warranty costs would invalidate it.

DEMAND IS AMPLE, BUT DEPLOYMENT BOTTLENECKS CAN DELAY CASH GENERATION

BloombergNEF forecast 158GW of global storage additions in 2026, up 41% from 112GW in 2025, on 8 May 2026. China represented 54% of 2025 additions and the United States 16%, according to BloombergNEF on 7 May 2026. Large power transformers have 48–60 month lead times, according to GridReadiness on 15 May 2026. Generator step-up transformers average 144 weeks, according to IndustrialSage and Wood Mackenzie on 6 May. These constraints can delay revenue even when Tesla's factories can deliver.

US interconnection queues contained 749GW of storage at end-2025, but historical completion was only 13%, according to Lawrence Berkeley National Laboratory on 1 June 2026. Median time from interconnection to operation reached 61 months for 2025 completions. Texas then froze new connections while auditing 474GW of data-center load requests in August 2026, according to MarketScale on 16 August. The pipeline is not equivalent to bankable demand. Value depends on converting contracted projects into energized assets.

VALUATION AND BREAKPOINTS

The bridge values Energy generation and storage at USD 120 billion, using USD 8 billion of modelled 2029 EBITDA and a 15.0x multiple. At a 25% EBITDA margin, this requires USD 32 billion of revenue. At USD 240 per kWh, that implies about 133GWh of annual deployment, almost three times 2025 volume. BloombergNEF's market growth and Tesla's Shanghai capacity make this achievable only with additional capacity, higher utilization elsewhere and continued cell availability.

ENERGY GENERATION AND STORAGE FACT SHEET

PROFIT ENGINE

FY2025A REVENUE	USD 12,771m
FY2025A GROSS PROFIT	USD 3,802m
FY2025 DEPLOYMENTS	46.7GWh
FY2025 GROSS MARGIN	29.8%
Q2 2026 REVENUE	$3.14bn
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SHANGHAI ANNUALIZED CAPACITY	40GWh in early 2026
NORTH AMERICA INTEGRATOR SHARE	39% in 2024
VALUATION METRIC	$8.0bn modelled 2029 EBITDA × 15.0x

CORE ANALYSIS · BUSINESS DIVISION DEEP DIVES

08.3 Energy generation and storage (continued)

Business division deep dive — Profit engine.

The case breaks if adjusted gross margin settles below 20%, warranties recur, or interconnection delays strand inventory and working capital. A 5-point EBITDA-margin shortfall on USD 32 billion of revenue removes USD 24 billion of value at 15.0x. Upside requires deployment growth above 25%, pricing near the current range and evidence that Megapack 3's larger 5MWh format lowers lifetime delivered cost. Ofgem's electricity-supply licence for Tesla Energy Ventures, effective 11 March 2026, creates a route into retail and grid services. No incremental value is assigned until revenue is disclosed.

ENERGY GENERATION AND STORAGE FACT SHEET

PROFIT ENGINE

FY2025A REVENUE	**USD 12,771m**
FY2025A GROSS PROFIT	**USD 3,802m**
FY2025 DEPLOYMENTS	**46.7GWh**
FY2025 GROSS MARGIN	**29.8%**
Q2 2026 REVENUE	**$3.14bn**
Q2 2026 GROSS MARGIN	**20.4% after $240m true-up**
SHANGHAI ANNUALIZED CAPACITY	**40GWh in early 2026**
NORTH AMERICA INTEGRATOR SHARE	**39% in 2024**
VALUATION METRIC	**$8.0bn modelled 2029 EBITDA × 15.0x**

ENERGY-STORAGE SCALE, MARKET POSITION AND PROFITABILITY

OPERATOR	SCALE OR SHARE	REVENUE	GROSS MARGIN
Tesla	46.7GWh (2025)	$12.77bn (2025)	29.8% (2025)
BYD	13% global (2025)	Not in evidence	Not in evidence
Sungrow	43GWh (2025)	$5.25bn ESS (2025)	36.49% (2025)
Fluence	Integrator benchmark	$2.26bn FY2025	13.1% FY2025

CORE ANALYSIS · BUSINESS DIVISION DEEP DIVES

08.4 Optimus humanoid robotics

Business division deep dive — Emerging option.

THE OPPORTUNITY IS MANUAL-LABOR SPENDING, NOT CURRENT ROBOT SHIPMENTS

Humanoid robots could ultimately address trillions of dollars of annual manual labor across manufacturing and logistics, according to SVRC on 24 February 2026, although the source provided no single quantified total. The measurable current market is much smaller. Fortune Business Insights estimated USD 6.24 billion in 2026 on 27 July 2026, while Smart Analytics Global projected 60000 humanoid shipments for 2026 on 10 August. The option valuation uses a bottom-up unit build rather than an undefined share of global labor spending.

Chinese vendors lead current shipments. Smart Analytics Global estimated AgiBot at 44% and Unitree at 31% in H1 2026. Visual Capitalist reported Unitree led 2025 with 5500 units and 37.9%, followed by AgiBot with 5168 units and 35.6%, while UBTECH held 6.9%. Tesla, Figure and Agility each accounted for approximately 1.03% of 2025 external shipments in that source. The report treats Tesla's internal deployment separately because factory prototypes are not commercial shipments.

INTERNAL DEPLOYMENT IS A LABORATORY, NOT PRODUCTIVE CAPACITY

Reports differ on Tesla's deployed population. Optimusk.blog estimated approximately 1000 units across Fremont and Texas in early 2026. Omdia-related reporting indicated fewer than 500 Optimus units shipped during 2025. Forbes separately described hundreds deployed internally. The difference may reflect internal prototypes versus external shipments, but no reconciled figure exists. The valuation uses 1000 as an upper operating-fleet estimate and assigns zero commercial revenue.

Three autonomous tasks were reported in July 2026: sorting 4680 cells, moving parts between production stations and visual quality inspection. Yet Elon Musk said on the Q4 2025 call that Optimus units were primarily learning and collecting data, rather than delivering measurable useful output. Both can be true if task demonstrations advanced during 2026. Cycle time, uptime, intervention frequency and output quality remain undisclosed. These productivity measures matter more than the number of robots deployed.

- AgiBot: 44% of H1 2026 shipments, according to Smart Analytics Global on 10 August 2026.
- Unitree: 31% of H1 2026 shipments after selling 5500 units in 2025.
- UBTECH: 1000 units and 6.9% of 2025 shipments, according to Visual Capitalist on 17 March 2026.
- Tesla: approximately 1% of 2025 external shipments, with internal deployment estimates ranging from hundreds to about 1000.

OPTIMUS HUMANOID ROBOTICS FACT SHEET

EMERGING OPTION

REVENUE	Not separately reported
GROSS PROFIT	Not separately reported
2026 HUMANOID MARKET	$6.24bn estimated
2026 INDUSTRY SHIPMENTS	60000 units projected
CONFIRMED AUTONOMOUS TASKS	3 in July 2026
INTERNAL FLEET ESTIMATE	About 1000 units in early 2026
EXTERNAL VIABILITY ESTIMATE	15–20%
REQUIRED BASE SCALE	750000 units at $40000 revenue
NEXT GATE	Verified multi-shift useful output

CORE ANALYSIS · BUSINESS DIVISION DEEP DIVES

08.4 Optimus humanoid robotics (continued)

Business division deep dive — Emerging option.

USEFUL WORK, RELIABILITY AND COST ARE THE REAL GATES

A 12 November 2025 industry assessment estimated public Gen 2 demonstrations at 5mm end-effector repeatability and approximately 5% failure rate. This does not establish factory reliability. A robot can complete repetitive demonstrations yet fail economically if resets, supervision or maintenance consume labor. No verified multi-shift uptime, mean time between failures or cycle-time comparison with a human worker was found.

The report assumes a mature selling price of USD 40000 and manufacturing cost of USD 25000 for the base leg. These are report assumptions, not disclosed Tesla figures. Replacing USD 50000 of annual loaded labor could provide a payback below one year before integration and maintenance. If useful availability is only 50%, the effective payback doubles. The base leg therefore requires at least 85% useful availability and limited human intervention.

Tesla's R&D expense increased 49% to USD 2.371 billion in Q2 2026, largely attributed to robotics investment, according to Tesla reporting on 28 July 2026. Fremont lines were reportedly targeted to begin Gen 3 mass production in late July or August 2026, with an aspiration for one million annual units by 2027. The aspiration is not used as a forecast because industry shipments are only 60000 and verified useful output is absent.

OPTION VALUATION AND FAILURE PROBABILITY

The base-success leg assumes 750000 annual units at USD 40000 of revenue, generating USD 30 billion of 2035 revenue. At a 35% EBITDA margin, EBITDA is USD 10.5 billion. A 15.0x multiple gives USD 157.5 billion before discounting, weighted at 20%. The high-success leg assumes two million units, USD 80 billion of revenue and a 40% EBITDA margin. It produces USD 32 billion of EBITDA at 18.0x, weighted at 15%. These volumes exceed current industry shipments but remain below Tesla's stated annual-capacity aspiration.

The unmodelled 65% failure remainder is the largest assumption. It reflects Tesla's acknowledgement of no measurable useful output at Q4 2025, missing uptime and cycle-time evidence, the gap between internal units and external shipments, and GLJ Research's independent commercial-viability estimate of only 15–20% in Q1 2026. The report's combined 35% success probability is more generous because three tasks and a larger internal fleet provide subsequent evidence.

OPTIMUS HUMANOID ROBOTICS FACT SHEET

EMERGING OPTION

REVENUE	**Not separately reported**
GROSS PROFIT	**Not separately reported**
2026 HUMANOID MARKET	**$6.24bn estimated**
2026 INDUSTRY SHIPMENTS	**60000 units projected**
CONFIRMED AUTONOMOUS TASKS	**3 in July 2026**
INTERNAL FLEET ESTIMATE	**About 1000 units in early 2026**
EXTERNAL VIABILITY ESTIMATE	**15–20%**
REQUIRED BASE SCALE	**750000 units at $40000 revenue**
NEXT GATE	**Verified multi-shift useful output**

CORE ANALYSIS · BUSINESS DIVISION DEEP DIVES

08.4 Optimus humanoid robotics (continued)

Business division deep dive — Emerging option.

The option breaks if Gen 3 cannot perform multi-step work across full shifts with less than roughly one human intervention per shift, or if cost exceeds the labor savings it replaces. It re-rates if independent customers report measurable throughput, availability above 90% and repeat orders. Until then, Optimus should be valued as a probability-weighted option, not at a revenue multiple for a pre-revenue business.

OPTIMUS HUMANOID ROBOTICS FACT SHEET

EMERGING OPTION

REVENUE
Not separately reported

GROSS PROFIT
Not separately reported

2026 HUMANOID MARKET
$6.24bn estimated

2026 INDUSTRY SHIPMENTS
60000 units projected

CONFIRMED AUTONOMOUS TASKS
3 in July 2026

INTERNAL FLEET ESTIMATE
About 1000 units in early 2026

EXTERNAL VIABILITY ESTIMATE
15–20%

REQUIRED BASE SCALE
750000 units at $40000 revenue

NEXT GATE
Verified multi-shift useful output

HUMANOID SHIPMENT POSITION AND COMMERCIAL EVIDENCE

VENDOR	SHIPMENT POSITION	VOLUME EVIDENCE	COMMERCIAL EVIDENCE
Tesla	~1% external (2025)	Hundreds–1000 internal	3 confirmed tasks
AgiBot	44% (H1 2026)	5168 units (2025)	Shipment leader
Unitree	31% (H1 2026)	5500 units (2025)	2025 sales leader
UBTECH	6.9% (2025)	1000 units (2025)	Commercial shipments

CORE ANALYSIS · BUSINESS DIVISION DEEP DIVES

08.5 Paid vehicle software and connectivity

Business division deep dive — Profit engine.

THE OPPORTUNITY IS RECURRING SPENDING ACROSS THE CONNECTED VEHICLE, NOT A SINGLE FSD PACKAGE

Paid vehicle software competes for spending shifting from one-time hardware features, navigation and connectivity to recurring digital services, assisted driving and eventually autonomous capability. Market estimates vary widely. Straits Research estimated the 2026 software-defined vehicle market at USD 267.34 billion on 13 August 2026. Fortune Business Insights estimated USD 75.58 billion on 20 July 2026, Global Market Insights estimated USD 239.5 billion on 15 June 2026, and MarketsandMarkets estimated USD 447.55 billion on 14 August 2026. Definitions differ by almost sixfold. The valuation therefore builds revenue from subscribers, pricing and deferred-revenue recognition rather than applying a market share to one published total.

The broader displaced-spend opportunity is autonomous transportation, not software licences alone. Global Market Insights estimated USD 2.6 trillion of traditional transportation ownership and operation exposed to autonomous-vehicle displacement on 3 April 2026. Fortune Business Insights estimated the autonomous-vehicle market at USD 4.44 trillion on 27 July 2026. These figures matter for strategic upside but belong mainly to the robotaxi option. This division addresses paid functionality in Tesla vehicles while a human remains responsible. The report values subscriptions and connectivity, not driverless-service economics.

SUBSCRIBER GROWTH IS REAL, BUT THE PAYING BASE NEEDS CAREFUL DEFINITION

Tesla reported 1.48 million active FSD subscriptions globally in Q2 2026, up 56% year over year, in its shareholder update dated 22 July 2026. This replaces the approximately 1.28 million figure for Q1 2026 reported by Tesla and Deep Research Global on 19 May 2026. A separate TECHi estimate on 11 April 2026 used only 330000 paying subscribers and calculated USD 390 million of annual recurring revenue. The figures may use different definitions or dates, but the evidence does not reconcile them. The report gives greater weight to Tesla's later primary disclosure, while retaining the lower third-party estimate as a warning that active, paid and fully priced users may differ.

PAID VEHICLE SOFTWARE AND CONNECTIVITY FACT SHEET

PROFIT ENGINE

MODEL ESTIMATE REVENUE	USD 2,800m
MODEL ESTIMATE GROSS PROFIT	USD 1,600m
ACTIVE FSD SUBSCRIPTIONS	1.48m in Q2 2026
STANDARD US FSD PRICE	$99 per month
NORTH AMERICAN ATTACH RATE	55% at Q2 2026 deliveries
PREMIUM CONNECTIVITY PRICE	$9.99 monthly or $99 annually
SOFTWARE-RELATED DEFERRED REVENUE	$4.05bn at Q2 2026
MODELLED FY2025 REVENUE	$2.8bn within Automotive
VALUATION METRIC	$6.0bn modelled 2029 EBITDA × 14.0x

CORE ANALYSIS · BUSINESS DIVISION DEEP DIVES

08.5 Paid vehicle software and connectivity (continued)

Business division deep dive — Profit engine.

At the standard US price of USD 99 per month, 1.48 million subscriptions imply gross annualized billings of USD 1.758 billion: 1.48 million multiplied by USD 99 multiplied by twelve. This is the report's derived estimate and matches the register calculation. It applies one regional list price to a global subscriber base, making it an upper bound. Actual revenue may be lower because Enhanced Autopilot owners may pay USD 49 per month, regional pricing differs, promotions occur and revenue recognition may be deferred. The base division revenue includes FSD subscriptions, recognized deferred revenue and Premium Connectivity, without double-counting subscription billings.

- Tesla: 1.48m active FSD subscriptions in Q2 2026, up 56% year over year, according to Tesla on 22 July 2026.
- General Motors: approximately 13m OnStar subscribers and a path to more than 850000 Super Cruise users in 2026, according to GM and Business Insider on 22 July 2026.
- Ford: 1.22m BlueCruise-enabled vehicles at end-2025 and 20% subscription growth in Q2 2026, according to Ford on 29 July 2026.
- Ford Pro: nearly 630000 paid software subscriptions in Q3 2024, according to Ford on 28 October 2024.

The 55% North American FSD attach rate on new deliveries in Q2 2026, reported by Tesla and Sawyer Merritt on 22 July 2026, is the strongest leading indicator. It should not be applied globally without adjustment because regulation, pricing and consumer income differ. It measures delivery attachment, not retention after a free period or over a vehicle's life. Churn is therefore the central undisclosed variable. High gross attachment creates little durable value if customers cancel after testing the feature.

SUBSCRIPTION-ONLY PRICING IMPROVES VISIBILITY BUT GIVES UP UPFRONT CASH

Tesla ended the USD 8000 one-time FSD purchase option in the United States and moved new deliveries to subscriptions on 14 February 2026, according to Tesla Support and TECHi. Tesla Support confirmed the standard price at USD 99 per month for vehicles with Basic Autopilot on 17 August 2026. Owners with Enhanced Autopilot can reportedly pay USD 49 per month. The change lowers entry cost, expands the potential paying base and makes recurring revenue more visible. Tesla gives up upfront cash and takes retention risk. USD 8000 equals roughly 81 months at USD 99 before discounting, taxes or cancellations.

PAID VEHICLE SOFTWARE AND CONNECTIVITY FACT SHEET

PROFIT ENGINE

MODEL ESTIMATE REVENUE	USD 2,800m
MODEL ESTIMATE GROSS PROFIT	USD 1,600m
ACTIVE FSD SUBSCRIPTIONS	1.48m in Q2 2026
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CORE ANALYSIS · BUSINESS DIVISION DEEP DIVES

08.5 Paid vehicle software and connectivity (continued)

Business division deep dive — Profit engine.

Premium Connectivity adds a smaller but broader revenue stream. Tesla Support listed the US price at USD 9.99 per month or USD 99 per year on 11 August 2026. Tesla does not disclose paying connectivity users, trial conversions, regional pricing or standalone margin. The report assumes 5–7 million average paid-equivalent connectivity accounts at approximately USD 90 of annual realized revenue, producing USD 450–630 million. This is the report's estimate. The low end is used because many vehicles may be in trial periods or markets with different packages.

DEFERRED REVENUE SHOWS MONETIZATION, BUT IS NOT A CLEAN SOFTWARE BACKLOG

Tesla reported USD 4.00 billion of deferred revenue related to FSD, internet connectivity and other software features at 31 March 2026 in its 24 April 2026 Form 10-Q. Its Q2 shareholder update reported USD 4.05 billion at 30 June 2026. Tesla recognized USD 1.12 billion from deferred balances in H1 2026, versus USD 944 million in H1 2025. It expected approximately USD 941 million of the March balance to be recognized over the following twelve months. These disclosures show that software and connectivity are material, but the balance is not annual recurring revenue because it covers multiple products, bundled obligations and recognition schedules.

A defensible 2026 revenue build is a range. The low case uses USD 1.758 billion of annualized FSD billings plus USD 450 million of connectivity, with no additional deferred-revenue release beyond amounts already included in billings. This produces about USD 2.21 billion. The high case in the register reaches USD 3.08 billion by assuming 1.8 million year-end subscribers and disclosed twelve-month deferred-revenue recognition. The report uses approximately USD 2.8 billion for the FY2025 divisional carve-out and a higher forward path. Period matching remains imperfect because Tesla does not report the division separately.

COMPETITIVE EVIDENCE SUPPORTS HIGH MARGINS, BUT NOT MONOPOLY ECONOMICS

GM reported software and subscription gross margin of 70% per unit, versus 4–10% for physical vehicle sales, according to GM and Torque News on 22 July 2026. Tesla's software-only gross margin is not disclosed, so 70% is an external reference rather than a Tesla measure. Ford Pro software revenue was estimated to reach USD 2 billion in 2026 by Electro IQ on 27 March 2026. These comparisons show that paid vehicle software can be highly profitable, but Tesla is not alone in building recurring vehicle revenue.

PAID VEHICLE SOFTWARE AND CONNECTIVITY FACT SHEET

PROFIT ENGINE

MODEL ESTIMATE REVENUE	USD 2,800m
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SOFTWARE-RELATED DEFERRED REVENUE	$4.05bn at Q2 2026
MODELLED FY2025 REVENUE	$2.8bn within Automotive
VALUATION METRIC	$6.0bn modelled 2029 EBITDA × 14.0x

CORE ANALYSIS · BUSINESS DIVISION DEEP DIVES

08.5 Paid vehicle software and connectivity (continued)

Business division deep dive — Profit engine.

Mercedes-Benz paused its US Level 3 Drive Pilot system in January 2026 and moved to a Level 2++ product priced at USD 3950 for three years, according to ArenaEV and Tech in Asia on 15 January 2026. This equates to approximately USD 110 per month before discounting, close to Tesla's standard FSD price. In China, Level 2 assisted-driving penetration reached 69.28% in May 2026 and Urban NOA adoption approached 25%, according to BigGo Finance and CAAM on 8 May 2026. High feature penetration can expand the market, but bundling by Chinese manufacturers can compress standalone software prices.

REGULATION EXPANDS THE ELIGIBLE FLEET BUT DOES NOT CREATE DRIVERLESS ECONOMICS

Tesla received approval for FSD Supervised in the Netherlands in April 2026, according to Tesla's Q1 update on 22 April 2026. Eleport and Green Drive reported on 23 June 2026 that the approval was recognized by Lithuania, Estonia and three other EU countries. Reuters and CleanTechnica reported on 12 August 2026 that broader EU approval could come as early as October. Tesla's CFO had previously targeted Q2 2026 on 23 April. The missed target supports using the later external timetable rather than assuming immediate continent-wide availability.

Tesla targeted broader approval in China by Q3 2026, according to its CFO and EVwire on 23 April 2026. TeslaInsider repeated a similar target on 11 August. EVwire reported FSD Supervised availability in ten jurisdictions on 4 June 2026. The distinction remains important: supervised approval expands the subscription market, but does not transfer driving responsibility or justify robotaxi margins. The software division can succeed even if driverless autonomy fails. It therefore receives a conventional EBITDA multiple, not an option probability.

VALUATION REQUIRES DURABLE RETENTION, NOT ONLY FLEET GROWTH

The target bridge values paid software and connectivity at USD 84 billion, using USD 6 billion of modelled 2029 EBITDA and a 14.0x multiple. At a 70% reference gross margin and approximately 55% EBITDA margin after computing, support and development, revenue must approach USD 10.9 billion. At USD 1188 of annual standard FSD pricing, this requires roughly 9.2 million full-price subscriber equivalents if FSD is the only product. Connectivity and deferred feature revenue reduce the required FSD count. A balanced build assumes 6 million FSD-equivalent users generating USD 7.1 billion, plus roughly USD 1 billion of connectivity and USD 2.8 billion of other feature recognition.

PAID VEHICLE SOFTWARE AND CONNECTIVITY FACT SHEET

PROFIT ENGINE

MODEL ESTIMATE REVENUE	**USD 2,800m**
MODEL ESTIMATE GROSS PROFIT	**USD 1,600m**
ACTIVE FSD SUBSCRIPTIONS	**1.48m in Q2 2026**
STANDARD US FSD PRICE	**$99 per month**
NORTH AMERICAN ATTACH RATE	**55% at Q2 2026 deliveries**
PREMIUM CONNECTIVITY PRICE	**$9.99 monthly or $99 annually**
SOFTWARE-RELATED DEFERRED REVENUE	**$4.05bn at Q2 2026**
MODELLED FY2025 REVENUE	**$2.8bn within Automotive**
VALUATION METRIC	**$6.0bn modelled 2029 EBITDA × 14.0x**

CORE ANALYSIS · BUSINESS DIVISION DEEP DIVES

08.5 Paid vehicle software and connectivity (continued)

Business division deep dive — Profit engine.

This subscriber requirement is plausible only if the eligible fleet expands, attachment remains high and churn is controlled. The Q2 2026 base of 1.48 million must compound at approximately 42% annually for four years to exceed 6 million. Reported 56% year-over-year growth meets that hurdle today, but growth becomes harder as the base expands. A realized monthly price of USD 75 would reduce revenue from 6 million subscribers by USD 1.73 billion annually. At a 55% EBITDA margin and 14.0x multiple, that removes about USD 13.3 billion of enterprise value.

The valuation breaks if active subscriptions include a material non-paying population, twelve-month churn rises after the subscription-only transition, or regulators constrain supervised features in major markets. It also breaks if assisted driving becomes a bundled commodity rather than a paid differentiator. Disclosed cohort retention above 80%, more than 3 million paying subscriptions by end-2027 and sustained realized pricing near the current standard rate would support a higher revenue path. The key measure is the share of the eligible fleet that becomes and remains a paying customer.

PAID VEHICLE SOFTWARE AND CONNECTIVITY FACT SHEET

PROFIT ENGINE

MODEL ESTIMATE REVENUE
USD 2,800m

MODEL ESTIMATE GROSS PROFIT
USD 1,600m

ACTIVE FSD SUBSCRIPTIONS
1.48m in Q2 2026

STANDARD US FSD PRICE
$99 per month

NORTH AMERICAN ATTACH RATE
55% at Q2 2026 deliveries

PREMIUM CONNECTIVITY PRICE
$9.99 monthly or $99 annually

SOFTWARE-RELATED DEFERRED REVENUE
$4.05bn at Q2 2026

MODELLED FY2025 REVENUE
$2.8bn within Automotive

VALUATION METRIC
$6.0bn modelled 2029 EBITDA × 14.0x

PAID VEHICLE SOFTWARE ADOPTION AND ECONOMICS

OPERATOR	PAID-USER EVIDENCE	PRICE OR REVENUE	MARGIN EVIDENCE
Tesla	1.48m FSD (Q2 2026)	$99/month US	Not separately reported
General Motors	13m OnStar; 850k SC path	Subscription portfolio	70% gross margin (Q2 2026)
Ford BlueCruise	1.22m enabled (2025)	Subscriptions +20% Q2 2026	Not supplied
Ford Pro	630k paid (Q3 2024)	$2bn rev est. (2026)	Not supplied
Mercedes-Benz	L2++ product (2026)	$3950 for 3 years	Not supplied

CORE ANALYSIS · BUSINESS DIVISION DEEP DIVES

08.6 Supercharger network

Business division deep dive — Infrastructure profit engine.

THE OPPORTUNITY IS RECURRING ENERGY AND ACCESS REVENUE FROM AN INSTALLED NETWORK

The network competes for EV charging spending, not only charging-hardware value. The evidence provides no consolidated global charging-revenue total, so the report derives revenue from connectors, utilization and price. SETEC POWER reported nearly 80000 global connectors on 16 July 2026. At an assumed 120kWh sold per connector per day and USD 0.38 realized revenue per kWh, annual electricity revenue is approximately USD 1.33 billion: 80000 multiplied by 120, multiplied by 365, multiplied by USD 0.38.

Membership, idle fees and access services could lift revenue toward USD 1.5–1.8 billion. This supports the report's USD 1.7 billion FY2025 carve-out from Automotive revenue. These are model estimates because Tesla does not disclose standalone charging revenue, utilization or realized tariffs. Connector utilization is the key variable. Each additional 20kWh per connector per day adds approximately USD 222 million of annual revenue at the assumed tariff.

INSTALLED LEADERSHIP REMAINS STRONG, BUT INCREMENTAL SHARE IS FALLING

Tesla held 52.5% of installed US DC fast-charging stalls in January 2026, according to State of Charge and Paren on 5 January 2026, down from 57% a year earlier. The figures are sequential, not conflicting. Tesla's share of newly deployed US fast-charging ports fell to 26% in Q1 2026, according to Electrek and Paren on 23 April. Competitors are expanding faster, although Tesla retains the largest installed base.

Electrify America held 12.7% and EVgo 7.5% in the cited Q1 2024 comparison. China is structurally different. TELD held 19.2%, Star Charge 16.7% and YKC 15.6% of public piles in July 2025, according to EVCIPA on 27 August 2025. Tesla's exact Chinese share was not established. EnBW is described as a leading German high-power operator, but comparable European shares were unavailable.

VALUATION DEPENDS ON INFRASTRUCTURE RETURNS, NOT STRATEGIC IMPORTANCE

The bridge applies 12.0x to USD 3 billion of modelled 2029 EBITDA, implying USD 36 billion of enterprise value. At a 35% EBITDA margin, this requires about USD 8.6 billion of revenue. The current connector base alone would require implausibly high throughput, so the case needs network expansion and third-party adoption. For example, 180000 connectors selling 250kWh per day at USD 0.45 per kWh would generate USD 7.4 billion before membership and access fees.

SUPERCHARGER NETWORK FACT SHEET

INFRASTRUCTURE PROFIT ENGINE

MODEL ESTIMATE REVENUE	USD 1,700m
MODEL ESTIMATE GROSS PROFIT	USD 492m
GLOBAL CONNECTORS	Nearly 80000 in July 2026
US INSTALLED DC-FAST SHARE	52.5% in January 2026
US NEW-PORT SHARE	26% in Q1 2026
MODELLED FY2025 REVENUE	$1.7bn within Automotive
MODELLED 2029 EBITDA	$3.0bn
SELECTED MULTIPLE	12.0x EV/EBITDA

CORE ANALYSIS · BUSINESS DIVISION DEEP DIVES

08.6 Supercharger network (continued)

Business division deep dive — Infrastructure profit engine.

The division breaks if new-port share continues to decline and utilization does not compensate, or if electricity procurement and demand charges prevent infrastructure-grade margins. It outperforms if connector count exceeds 150000, non-Tesla traffic lifts utilization and NACS access supports price discipline. Tesla does not disclose standalone revenue or capex, making this the least observable current profit engine. It receives only 3% of allocated current enterprise value.

SUPERCHARGER NETWORK FACT SHEET

INFRASTRUCTURE PROFIT ENGINE

MODEL ESTIMATE REVENUE
USD 1,700m

MODEL ESTIMATE GROSS PROFIT
USD 492m

GLOBAL CONNECTORS
Nearly 80000 in July 2026

US INSTALLED DC-FAST SHARE
52.5% in January 2026

US NEW-PORT SHARE
26% in Q1 2026

MODELLED FY2025 REVENUE
$1.7bn within Automotive

MODELLED 2029 EBITDA
$3.0bn

SELECTED MULTIPLE
12.0x EV/EBITDA

FAST-CHARGING NETWORK POSITION AND EXPANSION

OPERATOR	US INSTALLED SHARE	EXPANSION EVIDENCE	BUSINESS MODEL
Tesla	52.5% (Jan 2026)	26% new ports (Q1 2026)	Owned fast charging
Electrify America	12.7% (Q1 2024)	Network +30% (2024)	Owned fast charging
EVgo	7.5% (Q1 2024)	Stable, slight dilution	Owned fast charging
ChargePoint	No precise DC share	Public network benchmark	Hardware + software

CORE ANALYSIS · CROSS-DIVISION BRIDGE

09 Putting the divisions back together

How the business division valuations aggregate to the group, and the re-rating the target price requires.

Vehicles create the installed base for FSD, connectivity, charging demand and eventual fleet supply. Lower vehicle prices can expand that base, but they also reduce cash available for AI, factories and energy capacity.

Software has the best incremental economics, but supervised subscriptions and driverless rides must remain separate. Treating FSD subscription revenue as proof of robotaxi capability would double-count both customers and capability.

Energy and charging diversify demand but consume capital. Modelled 2026 capex is USD 19.4 billion, while management indicated more than USD 25 billion. These options compete with core factories for cash before consolidated free cash flow turns positive.

BRIDGE MECHANICS

Profit engines use explicit target-year EBITDA and peer-bracketed EV multiples. Pre-revenue divisions use market-share, revenue and margin scenarios weighted by success probabilities. The failure remainder is valued at zero.

At USD 339.99, Tesla trades at 76.86x 2026 EBITDA and 225.18x EBIT. The 16-peer median is 12.9x EBITDA and 19.7x EBIT. The peer set includes profitable platforms as well as loss-making EV and charging companies.

Tesla's normalized historical EV/EBITDA average is 101.83x. However, that history reflects repeated capitalization of future options rather than proven mature cash returns. Applying the average mechanically would be circular.

The reverse valuation requires EBIT margin to rise from 5.4% in 2026 to 43.2% at the terminal period, while revenue reaches USD 180.7 billion. It effectively assumes that software, autonomy and robotics transform the consolidated mix.

The SOTP allows for substantial option value but discounts execution risk. The disagreement with the market is not whether autonomy matters. It is how much driverless success can be underwritten before broad permits, fleet scale and comparable safety data exist.

CORE ANALYSIS · SCENARIOS & VERDICT

10

Scenario logic and the bottom-line judgment

How the conclusion changes under less favourable scenarios.

The bear case assumes competitive vehicle pricing, slower energy growth because of interconnection constraints, and zero value for both pre-revenue options. Revenue reaches USD 135 billion, while mix and utilization leave EBITDA margin at 12%.

The base case uses the authoritative operating trajectory as its near-term anchor. It then adds normalized divisional economics: improved vehicle utilization, continued FSD subscriber growth, higher energy throughput, and probability-weighted autonomy and Optimus outcomes. Revenue reaches USD 180 billion and EBITDA margin reaches 24%.

The bull case assumes broad driverless authorization, fleets above several hundred thousand vehicles, sustained software retention, energy deployment above 100GWh and useful commercial Optimus output. Revenue reaches USD 300 billion and EBITDA margin reaches 35%. Success-case cash accumulation improves net cash rather than leaving it fixed.

These are not simple consolidated-multiple scenarios. The code applies the SOTP framework: options are valued at zero in Bear, probability-weighted in Base and at their high-success values in Bull.

BOTTOM LINE

Tesla has several credible growth engines, but the current quote already requires a rapid shift from low-margin manufacturing to high-margin autonomous and software economics. The USD 305.1 target still includes substantial option value. SELL reflects inadequate compensation for regulatory, evidence and capital-intensity risk.

FINANCIAL BRIDGE · PART 1

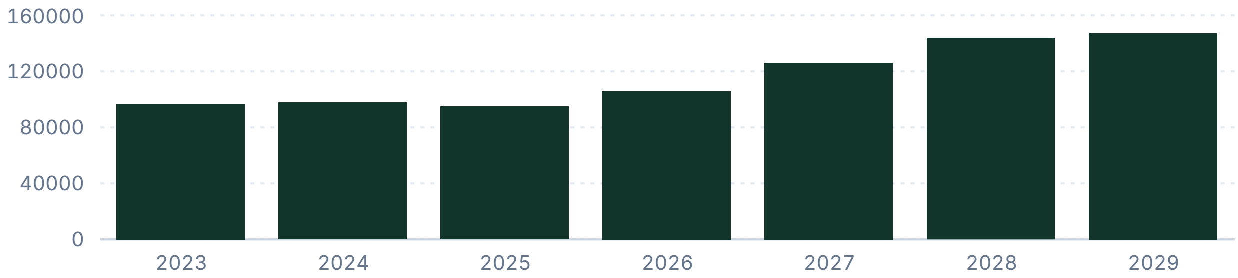
Net sales, EBITDA / EBIT, EBIT margin

14

Group-level trajectory for sales, earnings and margin; shaded bands mark forecast periods.

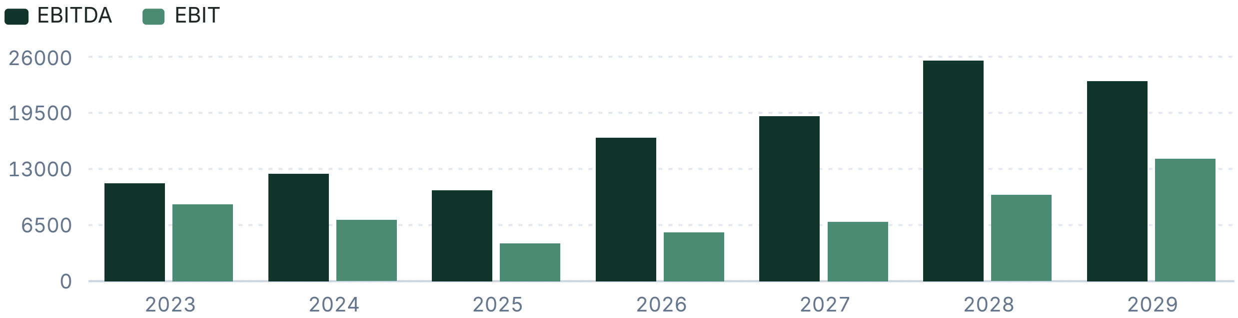
Net sales

USD millions



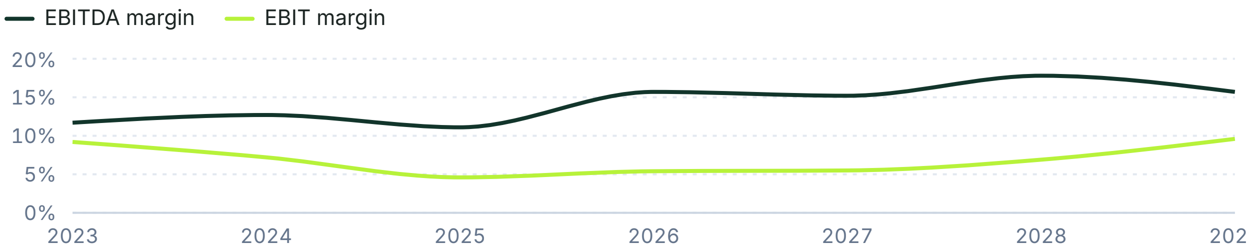
EBITDA & EBIT

USD millions



EBIT and EBITDA margin

% of net sales



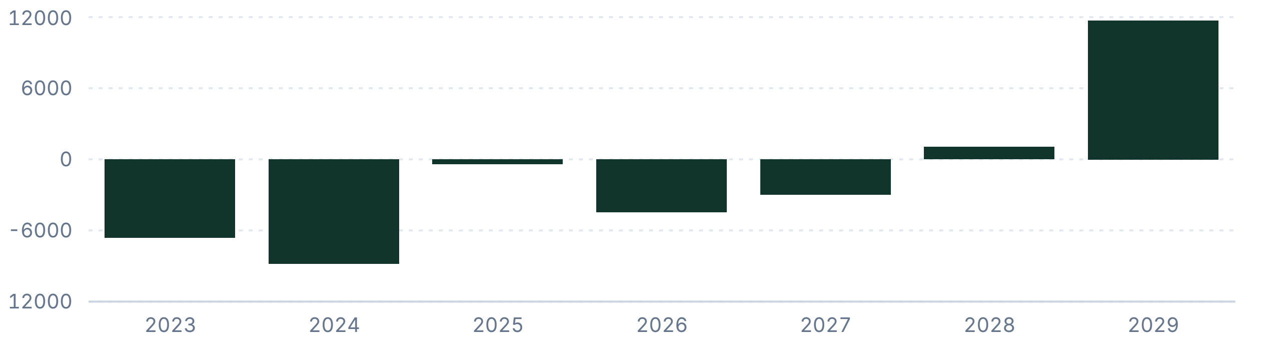
FINANCIAL BRIDGE · PART 2

15 Free cash flow, leverage, and key financials

Cash generation and balance-sheet capacity.

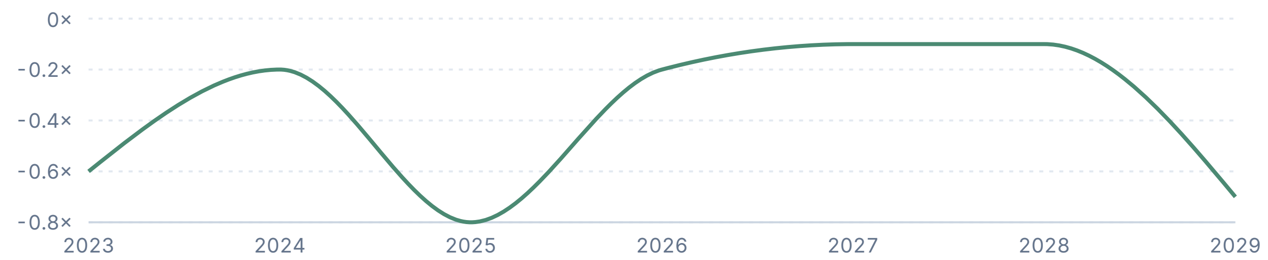
Free cash flow

USD millions



Net debt / EBITDA

Ratio



KEY FINANCIALS

	2025	2026	2027	2028	2029
Net Sales	94,827	105,880	126,200	144,000	147,278
EBITDA	10,503	16,617	19,140	25,570	23,169
Comparable EBIT	4,355	5,672	6,890	9,980	14,179
Net Earnings	**3,855**	**3,871**	**7,360**	**10,588**	**14,472**
EPS (USD)	1.2	1.2	2.3	3.3	4.5
DPS (USD)	0	0	0	0	0

VALUATION

Target price derivation

16

The rationale for the chosen valuation method and multiple, with the company's historical multiples.

SOTP is necessary because manufacturing, recurring software, infrastructure and pre-revenue options have different risk and margin structures. Profit engines use target-year EBITDA and multiples inside peer or mature-industry brackets; driverless autonomy and Optimus use probability-weighted 2035 success legs, with failure at zero. The sensitivity isolates profit-engine EBITDA and the blended multiple, while option probabilities remain the larger source of valuation dispersion.

What the market is pricing.

The USD 1.28 trillion current EV exceeds the report's USD 490 billion undiscounted profit-engine value by about USD 787.2 billion. In the report's option framework, that requires roughly USD 787.2 billion of present option value versus approximately USD 722.3 billion in the target, equivalent to about nine percentage points more combined success weighting on the high autonomy and robotics legs.

The market assumes Driverless scale can be capitalized before broad permit coverage and fleet evidence. We assign a different reading: The report retains substantial option value but requires a probability discount, reducing equity value relative to market. (California DMV, 17 August 2026; Axios, 14 August 2026; Business Insider, 22 July 2026)

The market assumes Tesla can approach a 43.2% terminal group EBIT margin. We assign a different reading: That margin requires autonomy and software to dominate mix; vehicle and energy evidence alone does not support it. (Valuatum reverse valuation; Tesla FY2025 Form 10-K; Tesla Q2 update, 22 July 2026)

The market assumes Optimus production targets are sufficient evidence of commercial value. We assign a different reading: Value remains probability-weighted until useful multi-shift output and customer payback are independently measurable. (Tesla Q4 2025 call, 28 January 2026; GLJ Research, 24 February 2026)

Two enterprise values, two questions. The division pages allocate today's market enterprise value across the divisions; the target-price bridge states what each is worth on this report's own estimates. For Scaled driverless autonomy and robotaxi the two readings are 574.8 billion allocated and 148.2 billion warranted.

HISTORICAL AND FORECAST MULTIPLES

METRIC	2024A	2025A	2026E	NORM. AVG.
P/E	180.49x	376.22x	267.91x	112.06x
EV/EBITDA	104.64x	138.54x	76.86x	101.83x
EV/EBIT	184.02x	334.11x	225.18x	191.70x
EV/Sales	13.33x	15.34x	12.06x	13.96x
P/BV	17.71x	17.66x	14.77x	20.12x
P/S	13.22x	15.29x	9.79x	13.61x

VALUATION

Peers and target price bridge

17

Validated peer multiples, each method's implied price and weight, and the sensitivity of the target.

PEER COMPARISON

COMPANY	2026E EV/EBITDA	2026E EV/SALES	2026E EBIT MARGIN
Tesla	76.86x	12.06x	5.4%
Peer median	12.9x	1.5x	7.5%
General Motors	6.0x	0.8x	7.3%
Toyota	11.8x	1.5x	7.8%
Alphabet	17.4x	8.7x	33.7%
Uber	14.0x	2.8x	14.1%
Fluence	-2.3x	0.7x	-30.8%

TARGET PRICE BRIDGE

METHOD	FORECAST METRIC	METRIC VALUE	SELECTED MULTIPLE	IMPLIED PRICE (12M DISC.)	WEIGHT
· Vehicle manufacturing, leasing and ownership services	2029E Modelled EBITDA	28,200	10.0x	71.4 → 59.8 USD	
· Paid vehicle software and connectivity	2029E Modelled EBITDA	6,000	14.0x	21.3 → 17.8 USD	
· Energy generation and storage	2029E Modelled EBITDA	8,000	15.0x	30.4 → 25.5 USD	
· Supercharger network	2029E Modelled EBITDA	3,000	12.0x	9.1 → 7.6 USD	
· Scaled driverless autonomy and robotaxi (probability-weighted)	Expected enterprise value	n/a	n/a	37.5 USD	
· · commercial success	2035E Modelled EBITDA	11,250	18.0x	51.3 → 7.6 USD	
· · platform leadership	2035E Modelled EBITDA	40,000	20.0x	202.6 → 29.9 USD	
· Optimus humanoid robotics (probability-weighted)	Expected enterprise value	n/a	n/a	14.7 USD	
· · industrial adoption	2035E Modelled EBITDA	10,500	15.0x	39.9 → 3.9 USD	
· · general-purpose scale	2035E Modelled EBITDA	32,000	18.0x	145.8 → 10.8 USD	
Sum of the parts	2026 Probability-weighte...	n/a	n/a	161.1 USD	100%
Weighted target price				161.1 USD	100%

SENSITIVITY — IMPLIED SHARE PRICE

SCALED DRIVERLESS AUTONOMY AND ROBOTAXI SUCCESS PROBABILITY	13.3X	16.2X	19.0X	21.8X	24.7X
30%	136.7	139.6	142.4	145.1	148.0
45%	143.3	147.6	151.7	155.9	160.2
60% (bridge case)	149.9	155.6	161.1	166.7	172.4

VALUATION MAP

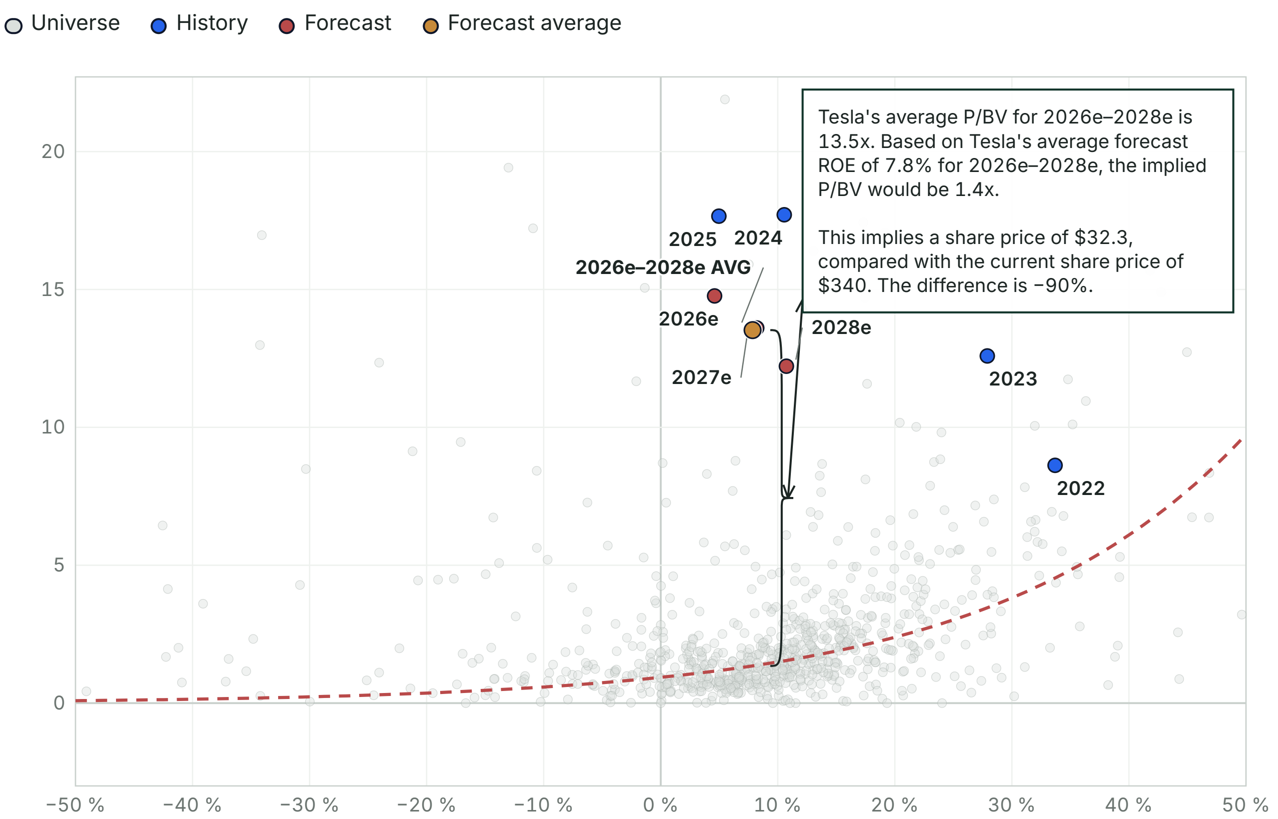
ROE vs P/BV — pricing versus profitability

18

The whole Wisdom universe as context: how the market prices profitability on average, and what the company's forecast position would imply for the share price.

ROE 2025 vs P/BV 2025

Tesla in the Wisdom universe (4 632 companies)



Across 4632 consensus companies, Tesla's average 2026–2028 ROE of 7.8% corresponds to a curve-implied 1.4x P/BV. Applied to average forecast book value per share of USD 23.9, this implies USD 32.3, versus the USD 340 current price. The roughly 90% gap confirms that book returns do not explain Tesla's valuation. Investors are pricing future intangible assets and option value.

MULTIPLES & SENSITIVITY

19 Forward multiples and EBITDA × multiple grid

How the implied valuation responds to changes in EBITDA and the applied multiple.

FORWARD MULTIPLES

	2026
P/E	267.9×
EV/EBITDA	76.9×
EV/EBIT	225.2×
P / Valuatum FOCF	-232.8×
P/BV	14.8×
Dividend Yield	—
Net Debt / EBITDA	-0.2×

EBITDA × EV/EBITDA sensitivity

PROFIT-ENGINE TARGET EBITDA Blended profit-engine EV/EBITDA →	9.0×	10.5×	**12.0×**	13.5×	15.0×
-20% USD 13,294m	**USD 119,646m** USD 28.50 / sh	**USD 139,587m** USD 33.50 / sh	**USD 159,528m** USD 38.60 / sh	**USD 179,469m** USD 43.60 / sh	**USD 199,410m** USD 48.60 / sh
-10% USD 14,955m	**USD 134,595m** USD 32.20 / sh	**USD 157,028m** USD 37.90 / sh	**USD 179,460m** USD 43.60 / sh	**USD 201,893m** USD 49.30 / sh	**USD 224,325m** USD 55.00 / sh
Base USD 16,617m	**USD 149,553m** USD 36.00 / sh	**USD 174,479m** USD 42.30 / sh	**USD 199,404m** USD 48.60 / sh	**USD 224,330m** USD 55.00 / sh	**USD 249,255m** USD 61.30 / sh
+10% USD 18,279m	**USD 164,511m** USD 39.80 / sh	**USD 191,930m** USD 46.80 / sh	**USD 219,348m** USD 53.70 / sh	**USD 246,767m** USD 60.60 / sh	**USD 274,185m** USD 67.60 / sh
+20% USD 19,940m	**USD 179,460m** USD 43.60 / sh	**USD 209,370m** USD 51.20 / sh	**USD 239,280m** USD 58.70 / sh	**USD 269,190m** USD 66.30 / sh	**USD 299,100m** USD 73.90 / sh

SCENARIO VALUATION

20

Bear / Base / Bull bridge

Revenue, EBITDA, multiple, EV, equity, value-per-share and upside in each scenario.

SCENARIO BRIDGE

	REVENUE	EBITDA	MARGIN	MULTIPLE	EV	EQUITY	VALUE / SHARE	UPSIDE
Bear	135,000	16,200	12.0%	27.0×	437,348	430,080	USD 108.89	−68.0%
Base	180,000	43,200	24.0%	14.9×	643,639	636,370	USD 161.12	−52.6%
Bull	300,000	105,000	35.0%	10.6×	1,115,375	1,108,106	USD 280.57	−17.5%

KEY CONDITIONS

Bear assumes no value for autonomy or Optimus and continued pressure on vehicle utilization. Base requires profitable growth across all four current engines, plus limited success probabilities for both options. Bull requires broad driverless permits, materially improved net cash through success-case cash generation, and verified commercial robotics output rather than prototype deployment. Each scenario follows the target-price bridge framework: profit engines are modelled, while Scaled driverless autonomy and robotaxi and Optimus humanoid robotics are valued at zero in Bear, at the bridge's probability weighting in Base, and at the best single scenario leg with certainty in Bull. The multiple column is therefore implied group EV/EBITDA at each value, not a selected multiple. The code-verified 12-month target of USD 161.1 lies between Bear USD 108.9, Base USD 161.1 and Bull USD 280.6. Its method weights appear in the Target Price Bridge.

THESIS BREAKER

A multi-jurisdiction driverless fleet above 1000 vehicles with credible margins would move the base case toward Bull.

CATALYSTS

21 Monitoring checklist

Near-, medium- and long-term events that could change the recommendation.

CATALYST REGISTER

	TIMING	SEGMENT	INDICATOR	VALUATION IMPACT
Berlin reaches 7500 Model Y units per week	NEAR-TERM	Vehicle manufacturing, leasing and ownership services	Deliveries and utilization rise without inventory build	Supports vehicle EBITDA normalization
FSD subscriptions exceed 2 million	NEAR-TERM	Paid vehicle software and connectivity	Paid base and retention after subscription transition	Raises recurring software revenue
Broader European supervised-FSD approval	NEAR-TERM	Paid vehicle software and connectivity	EU recognition beyond Netherlands-led approvals	Expands eligible paying fleet
Energy margin normalizes after warranty charge	NEAR-TERM	Energy generation and storage	Gross margin returns toward high-20s	Validates throughput economics
Driverless fleet exceeds 1000 vehicles	MEDIUM-TERM	Scaled driverless autonomy and robotaxi	Paid operation without in-car safety drivers	Raises autonomy success probability
California driverless permit application	MEDIUM-TERM	Scaled driverless autonomy and robotaxi	Permit category advances beyond driver testing	Unlocks a major mobility market
Optimus demonstrates full-shift productive work	MEDIUM-TERM	Optimus humanoid robotics	Independent uptime, cycle time and interventions	Converts prototype value into commercial option

READ-THROUGH

Near-term catalysts test whether the existing profit engines can fund the option portfolio. Berlin utilization, subscription growth and normalized energy margin directly affect the model even if driverless timelines slip. Autonomy and Optimus milestones are more convex. A permit has limited value without vehicles, miles and credible economics. Likewise, a robotics production announcement matters less than independently measurable productive output.

RISKS

Risk register

22

Each risk's business division, mechanism, early-warning trigger, impact band and structural type.

RISK REGISTER

	SEGMENT	MECHANISM	EARLY WARNING	IMPACT	TYPE
Persistent vehicle underutilization	Paid vehicle software and connectivity	Weak volume raises unit cost and slows installed-fleet growth	Utilization below 75% and lower revenue per delivery	HIGH	THESIS BREAKER
FSD subscriber churn	Paid vehicle software and connectivity	Subscription-only model loses lifetime value and margin	Attach rate rises while active-user growth slows	HIGH	STRUCTURAL
Energy warranty and project-cost recurrence	Energy generation and storage	True-ups reduce normalized margin and customer returns	Gross margin remains near 20%	MEDIUM	MANAGEABLE
Charging deployment share loss	Supercharger network	Competitor buildout reduces location density and pricing	New-port share remains near 26%	MEDIUM	MANAGEABLE
Driverless permit restriction	Scaled driverless autonomy and robotaxi	Incidents or supervision needs prevent fleet scaling	Caps, suspensions or no California application	HIGH	STRUCTURAL
Remote-assistance labor scales with fleet	Scaled driverless autonomy and robotaxi	Human support prevents software-like margins	No disclosure of interventions per 1000 miles	HIGH	THESIS BREAKER
Optimus cannot sustain useful work	Optimus humanoid robotics	Low uptime or high intervention destroys customer payback	Demonstrations without cycle-time or uptime data	HIGH	STRUCTURAL

READ-THROUGH

The main risks are linked rather than independent. Weak vehicle utilization reduces cash generation and fleet growth. Slower fleet growth limits software monetization, while heavy AI and robotics spending increases funding needs before optionality becomes self-financing. The most asymmetric risk is regulatory action after a driverless incident. A localized event can affect multiple jurisdictions because permits, insurers and public acceptance react faster than manufacturing capacity. Net cash provides resilience, but does not protect the valuation multiple from a lower success probability.

23

APPENDIX

Income statement

INCOME STATEMENT — USD MILLIONS

	2023	2024	2025	2026 *E*	2027 *E*	2028 *E*
Net Sales	**96,773**	**97,690**	**94,827**	*105,880*	*126,200*	*144,000*
EBITDA	**11,358**	**12,444**	**10,503**	*16,617*	*19,140*	*25,570*
EBITDA margin	11.7%	12.7%	11.1%	*15.7%*	*15.2%*	*17.8%*
Depreciation	-2,467	-5,368	-6,148	*-10,945*	*-12,250*	*-15,590*
Operating Profit (EBIT)	**8,891**	**7,076**	**4,355**	*5,672*	*6,890*	*9,980*
EBIT margin	9.2%	7.2%	4.6%	*5.4%*	*5.5%*	*6.9%*
Net financial items	1,082	1,914	923	*-282*	*1,000*	*1,370*
Pre-tax Profit	**9,973**	**8,990**	**5,278**	*5,390*	*7,890*	*11,350*
Net Earnings	**14,976**	**7,153**	**3,855**	*3,871*	*7,360*	*10,588*
PER SHARE						
EPS	4.7	2.2	1.2	*1.2*	*2.3*	*3.3*
DPS	0	0	0	*0*	*0*	*0*
Payout ratio	—	—	—	—	—	—

E = Valuatum estimate (not yet actualised)

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APPENDIX

Balance sheet

BALANCE SHEET — USD MILLIONS

	2023	2024	2025	2026 *E*	2027 *E*	2028 *E*
ASSETS						
Tangible assets	45,123	51,507	40,643	*49,036*	*58,447*	*66,690*
Intangibles	362	1,226	135	*151*	*180*	*205*
Goodwill	253	244	257	*257*	*257*	*257*
Non-current assets	**50,269**	**57,186**	**62,239**	***70,648***	***80,087***	***88,356***
Inventories	13,626	12,017	12,392	*13,552*	*16,153*	*18,431*
Receivables	19,592	30,204	39,737	*40,158*	*41,117*	*41,957*
Cash & equivalents	16,398	16,139	16,513	*18,107*	*21,582*	*24,626*
Current assets	**49,616**	**58,360**	**68,642**	***71,817***	***78,852***	***85,014***
Total Assets	**106,618**	**122,070**	**137,806**	***149,390***	***165,864***	***180,296***
EQUITY & LIABILITIES						
Equity	63,609	73,680	82,865	*86,736*	*94,096*	*104,684*
Long-term debt	2,682	5,535	6,736	*7,313*	*10,083*	*10,440*
Short-term debt	1,975	2,343	1,640	*7,313*	*10,084*	*10,440*
Long-term liabilities	**9,345**	**13,824**	**23,227**	***23,804***	***26,574***	***26,931***
Current liabilities	**28,748**	**28,821**	**31,714**	***38,850***	***45,194***	***48,681***
Total liabilities & equity	**106,618**	**122,070**	**137,806**	***149,390***	***165,864***	***180,296***
CAPITAL STRUCTURE & RATIOS						
Net debt	-6,825	-2,516	-8,137	*-3,481*	*-1,415*	*-3,745*
Capital invested	51,868	65,419	74,728	*83,255*	*92,681*	*100,939*
Equity ratio	59.7%	60.4%	60.1%	*58.1%*	*56.7%*	*58.1%*
Gearing	-10.7%	-3.4%	-9.8%	*-4.0%*	*-1.5%*	*-3.6%*
Net debt / EBITDA	-0.6×	-0.2×	-0.8×	*-0.2×*	*-0.1×*	*-0.1×*
Current ratio	1.7	2	2.2	*1.9*	*1.7*	*1.8*

E = Valuatum estimate (not yet actualised)

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APPENDIX

Cash flow

CASH FLOW — USD MILLIONS	2023	2024	2025	2026 *E*	2027 *E*	2028 *E*
OPERATIONS						
Cash from operations (model)	10,553	3,171	3,691	*14,697*	*19,624*	*26,190*
Operating cash flow (Valuatum calculation)	3,263	1,868	2,616	*14,900*	*18,691*	*24,912*
Change in working capital	7,474	9,298	6,312	*118*	*-13*	*-12*
INVESTING & FREE CASH						
Gross capex	11,643	12,285	11,201	*19,354*	*21,690*	*23,859*
Capex (ex. M&A)	-11,643	-12,285	-11,201	*-19,354*	*-21,690*	*-23,859*
Cash after capex (CFO - gross capex)	**-1,090**	**-9,114**	**-7,510**	***-4,656***	***-2,066***	***2,331***
Free operating cash flow (Valuatum def.)	**-6,634**	**-8,791**	**-383**	***-4,454***	***-2,999***	***1,053***
Free cash flow to firm	**-6,632**	**-8,791**	**-383**	***-4,454***	***-2,999***	***1,053***
FINANCING						
CF from financing	8,306	8,594	8,285	*6,250*	*5,541*	*713*
Dividends paid	—	—	—	—	—	—
Net change in cash	**7,216**	**-520**	**775**	***1,594***	***3,475***	***3,044***

E = Valuatum estimate (not yet actualised)

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APPENDIX

Quarterly snapshot

HISTORICAL QUARTERS — LAST TWO COMPLETED YEARS, USD MILLIONS

	Q1/24	Q2/24	Q3/24	Q4/24	Q1/25	Q2/25	Q3/25	Q4/25
Net Sales	21,301	25,500	25,182	25,707	19,335	22,496	28,095	24,901
EBITDA	2,417	2,883	4,065	3,079	1,846	2,356	3,249	3,052
EBITDA margin	11.3%	11.3%	16.1%	12.0%	9.5%	10.5%	11.6%	12.3%
Comparable EBIT	1,171	1,605	2,717	1,583	399	923	1,624	1,409
EBIT margin	5.5%	6.3%	10.8%	6.2%	2.1%	4.1%	5.8%	5.7%
Net Earnings	1,405	1,416	2,183	2,332	420	1,190	1,389	856
EPS	0.4	0.4	0.7	0.7	0.1	0.4	0.4	0.3

CURRENT YEAR — QUARTERLY, USD MILLIONS

	Q1/26	Q2/26	Q3/26 *E*	Q4/26 *E*
Net Sales	22,387	28,236	*27,500*	*27,757*
EBITDA	2,531	398	*4,500*	*9,188*
EBITDA margin	11.3%	1.4%	*16.4%*	*33.1%*
Comparable EBIT	941	398	*3,000*	*1,333*
EBIT margin	4.2%	1.4%	*10.9%*	*4.8%*
Net Earnings	491	1,128	*1,483*	*769*
EPS	0.2	0.4	*0.5*	*0.2*

E = Valuatum estimate (not yet actualised)

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SOURCES & DISCLAIMER

Sources, assumptions, and standard disclaimer

SOURCES REGISTER

	VALUE	CATEGORY	USED IN
Financial statements and forecast model	Valuatum Wisdom model 12823, snapshot period 2026	FINANCIAL SNAPSHOT	Financials, forecasts & valuation
Share-price history and market profile	Financial Modeling Prep, TSLA financialmodelingprep.com	MARKET DATA	Price chart & market facts
Tesla, Inc. Annual Report on Form 10-K for the Fiscal Year...	ir.tesla.com/.../tsla-20251231-gen.pdf	OFFICIAL SOURCE	Reported segment table
Tesla reported GAAP net income of $1.1 billion for the seco...	vertexaisearch.cloud.google.com	OFFICIAL SOURCE	Tesla Investor Relations
Tesla's capital expenditures (Capex) are projected to top $...	vertexaisearch.cloud.google.com	OFFICIAL SOURCE	CFO Vaibhav Taneja via Inve...
Tesla launched its unsupervised Robotaxi network service, f...	vertexaisearch.cloud.google.com	OFFICIAL SOURCE	Tesla Q1 2026 Update
Tesla announced a 20% production increase for Model Y at Gi...	vertexaisearch.cloud.google.com	OFFICIAL SOURCE	Tesla Senior Director André...

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